KASIKORNTHAI

Management Discussion and Analysis (MD&A)

For the Year Ending December 31, 2020

ธนาคารกสิกรไทย
开泰银行 KASIKORNBANK

บริการทุกระดับประทับใจ

Executive Summary of Management Discussion and Analysis
For the Year Ending December 31, 2020

Overall, the Thai economy in 2020 contracted in line with other countries worldwide beset by the COVID-19 pandemic – an unprecedented crisis which prompted the implementation of lockdown measures in various countries. The pandemic's late-year resurgence even further hampered the recovery of businesses within the supply chains of the tourism, retail and export sectors. It also severely depressed employment and worsened the fragility of household income, which in turn impacted our customers' financial standing and thus KBank's operating performance.

Amid the myriad challenges and heightened economic risk, KBank has operated its business in line with the principles of a Bank of Sustainability, accounting for the balance of three dimensions – economy, society and environment – along with good corporate governance, as well as appropriate risk and cost management in adherence with the Customer Centricity strategy and the resolve to deliver an excellent customer experience. We have focused on providing assistance to all groups of our customers facing impacts of the COVID-19 crisis – while adhering to the Bank of Thailand's guidelines – in order to sustain economic activity, which was a major immediate challenge. In parallel, we continued to bolster our competitiveness through the development of digital technology to be in step with changing consumer behavior in the 'new normal' environment while also seeking new business opportunities under a proactive integrated risk management approach through the establishment of comprehensive risk management principles and policies, as well as a risk-aware culture Bank-wide, so as to secure our status as a leading financial institution that is always prepared for potential economic volatility, under both normal and stressed situations.

Having complied with TFRS 9, KBank and its subsidiaries reported net profit for 2020 of Baht 29,487 million, a decrease of Baht 9,240 million or 23.86 percent from the previous year. The decrease was due mainly to the fact that KBank and its subsidiaries had appropriately set aside expected credit loss of Baht 43,548 million, an increase of Baht 9,536 million or 28.04 percent over the preceding year, which was the level that could cope with potential losses in line with the prevailing economic circumstances.

Meanwhile, net interest income increased by Baht 6,334 million or 6.17 percent, due mainly to a decrease in interest expenses as a result of a decrease in average interest rate and a drop in contributions to the Financial Institutions Development Fund (FIDF). As a result, our net interest margin (NIM) stood at 3.27 percent. At the same time, non-interest income decreased by Baht 11,934 million or 20.65 percent, due mainly to declines in revenue from sales of securities and fee income related to loan, which was changed to reflect interest income. In addition, other operating expenses decreased by Baht 2,733 million or 3.76 percent, due mainly to a drop in estimated employee expenses, premises and equipment expenses as well as marketing expenses, while debt management expenses increased. As a result, cost to income ratio stood at 45.19 percent.

With regard to our capital position as of the end of 2020, capital adequacy ratio (CAR) of KASIKORNBANK FINANCIAL CONGLOMERATE according to the Basel III Accord was 18.80 percent, with a Tier 1 capital ratio of 16.13 percent and Common Equity Tier-1 Ratio of 15.48 percent which were greater than the Bank of Thailand's requirement, reflecting our robust capital position which is adequate for continuously operating business under both normal and stressed situations. Through its efficient capital management, KBank can conduct business with optimal capital structure, effective cost management.

The operating performance of the wholly-owned subsidiaries of KBank was also satisfactory in terms of quantity and quality due to the concerted efforts of all units involved. KASIKORN SECURITIES PCL has worked with KBank in developing an online securities trading account opening system as well as technologies for customers' portfolio monitoring and management in alignment with investor behavior in the digital era, driving the company to garner a greater market share. KASIKORN ASSET MANAGEMENT CO., LTD. remained at the top of the mutual fund business. KASIKORN LEASING CO., LTD. could maintain its lending business volume amid the slowdown in the domestic automotive industry while also keeping its healthy asset quality intact. Meanwhile, KASIKORN FACTORY & EQUIPMENT CO., LTD. enjoyed continually high loan growth. In addition, Muang Thai Life Assurance PCL retained its leadership in the bancassurance business, holding the largest market share in new business premiums.

The operating performance of KBank and K Companies thus met our business targets as expected in line with the economic conditions. Our operations have gained wide acceptance and recognition at home and abroad, as reflected in the numerous awards we received in 2020. All the above endeavors and performance of KBank and K Companies have thus far been undertaken with prudence and in step with the ever-changing environment, together with awareness of the economic uncertainty that persists due to the unresolved COVID-19 crisis. These efforts will allow us to devise a plan to cope with any potential impacts upon on our business while also giving our customers support in an efficient and timely manner.

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1. Overview of Operating Environment

1.1 Global and Thai Economy in 2020 and Outlook for 2021

The global economy underwent a severe contraction in 2020 as a result of the COVID-19 pandemic which prompted many countries to implement lockdowns to control the spread of the COVID-19. Consequently, economic activity faltered across the board, as evidenced by weakened industrial production, investment, employment and consumer spending. In spite of that, the International Monetary Fund (IMF) has upwardly revised the 2020 global economic outlook in January 2021 to a contraction of 3.5 percent – a smaller decline than its previous projection made in October 2020 – due to signs of an economic recovery in the second half of the year. However, both advanced economies as well as emerging markets and developing countries continued to shrink by 4.9 percent and 2.4 percent, respectively. Regarding the full-year outlook for 2021, the IMF projected that the global economy may grow 5.5 percent, boosted by the development of COVID-19 vaccines and state-issued stimulus packages that are being launched simultaneously.

Nonetheless, any recovery of economic activity worldwide will hinge on the efforts to control new waves of COVID-19 outbreaks across many countries, success in vaccinations and the establishment of herd immunity to put an end to the pandemic. As a result, the Federal Reserve (Fed), the European Central Bank (ECB), the Bank of Japan (BOJ) and many other central banks in Asia are maintaining their monetary policy-easing stance. The Fed, in particular, has continually signaled that it will keep its policy rate at a low range of 0.00-0.25 percent and will proceed with quantitative easing (QE) measures throughout the rest of 2021.

Overall, the Thai economy for 2020 suffered a contraction of 6.1 percent in line with the global economy, owing to the COVID-19 pandemic. Export and tourism sectors were severely hit by the global economic slump while stifled industrial production had adverse effects on employment and private spending. Such circumstances led the Thai authorities to issue measures to shore up the purchasing power of Thai households, provide assistance to businesses and maintain the stability of the financial market and Thailand's overall financial system. Likewise, financial institutions launched relief measures to aid their clients, especially through debt restructuring and granting new loans to ease businesses' liquidity crunch.

Looking into 2021, the Thai economy is set to expand once more, supported mainly by government spending. Meanwhile, economic activity in other sectors may see gradual improvement after being muted throughout 2020. Nevertheless, the recovery of each sector of the Thai economy will remain shrouded in uncertainty and may require more time amidst the risks that may arise from any new wave of COVID-19 outbreak. Worse, it may take even more time for the Thai tourism industry to emerge from the doldrums; much will depend on the global response to the COVID-19 situation.

Regarding Thai monetary policy for 2021, the Monetary Policy Committee (MPC) is expected to maintain its policy rate at 0.50 percent while continuing to monitor economic developments. At the same time, the MPC stands prepared to employ monetary policy tools, as well as make the appropriate monetary policy decisions to sustain the country's economic recovery.

1.2 Banking Industry and Emerging Risks

❑ Thai Banking Industry

Thai commercial banks' overall performance in 2020 recorded a decrease in net profit compared to 2019. The decline was due to their prudent approach in setting aside expected credit loss amid uncertainty surrounding asset quality woes as the Thai economy was beset by the COVID-19 pandemic. NPLs to total loans of commercial banks edged up. Meanwhile, all banks launched relief measures to aid both retail and business customers in earnest.

Regarding income from core businesses, net interest income increased thanks to declining interest expenses, a drop in contributions to the Financial Institutions Development Fund (FIDF) as well as recognition of interest income per TFRS9. Nonetheless, net interest margin (NIM) decreased slightly due to lending interest rate reduction and a decline in yield on loans. Non-interest income in 2020 also dipped, especially net profit from investment and net fees and service income.

As of December 31, 2020, loans to customers and accrued interest receivables - net at 19 domestically-registered commercial banks totaled Baht 12.782 trillion. Meanwhile, deposits equaled Baht 14.632 trillion, which resulted in hefty liquidity in the banking system. KBank ranked third in loans to customers and accrued interest receivables – net in the commercial banking system, with a market share of 15.32 percent, and ranked fourth in assets and deposits, with market shares of 14.07 percent and 15.22 percent, respectively.

For the outlook of commercial banks in 2021, the highly uncertain economic environment amid the new wave of COVID-19 earlier this year may affect debt servicing ability of borrowers. It is thus imperative for commercial banks to keep monitoring their customers and giving them support, especially through continual debt restructuring. As economic activity has yet to fully recover, ability to maintain income from core businesses and asset quality management will remain major challenges for commercial banks in 2021 – circumstances that are no different from 2020. Nonetheless, the financial standing of the Thai banking system remains healthy, as reflected in robust capital positions and provisions that are sufficient to cope with the uncertain situation throughout this year.

Market Shares in Assets, Deposits, and Net Loans within the Commercial Banking System

(Unit: Million Baht)

Bank	Assets	Market Share (%)	Deposits	Market Share (%)	Net Loans	Market Share (%)
Bangkok Bank	3,384,961	15.55	2,485,597	16.16	1,896,205	14.06
Siam Commercial Bank	3,280,442	15.07	2,429,780	15.80	2,125,942	15.76
Krung Thai Bank	3,226,987	14.83	2,466,780	16.04	2,124,250	15.75
KASIKORNBANK	3,061,407	14.07	2,340,470	15.22	2,066,638	15.32
Bank of Ayudhya	2,460,731	11.31	1,819,223	11.83	1,609,830	11.94
TMB Bank	1,205,404	5.54	815,678	5.30	693,775	5.14
Thanachart Bank	811,183	3.73	557,957	3.63	649,686	4.82
United Overseas Bank	632,342	2.91	491,560	3.20	421,662	3.13
CIMB Thai	404,421	1.86	194,150	1.26	217,576	1.61
Kiatnakin Bank	354,468	1.63	252,067	1.64	262,643	1.95
TISCO Bank	264,921	1.22	204,859	1.33	213,802	1.59
Land and Houses Bank	240,085	1.10	182,735	1.19	155,838	1.16
ICBC (Thai)	225,413	1.04	147,053	0.96	111,933	0.83
Standard Chartered Bank (Thai)	167,167	0.77	84,329	0.55	28,800	0.21
Thai Credit Retail Bank	80,721	0.37	64,626	0.42	66,823	0.50
Sumitomo Mitsui Trust Bank (Thai)	78,454	0.36	21,719	0.14	51,280	0.38
Bank of China (Thai)	68,562	0.32	47,094	0.31	45,455	0.34
ANZ Bank (Thai)	49,406	0.23	10,052	0.07	18,960	0.14
Mega International	25,120	0.12	16,417	0.11	20,766	0.15
Domestically-registered commercial banks	20,022,198	92.00	14,632,146	95.12	12,781,864	94.77
Foreign bank branches	1,741,938	8.00	750,316	4.88	705,227	5.23
All commercial banks	21,764,136	100.00	15,382,462	100.00	13,487,091	100.00

Source: C.B. 1.1 and C.B. 1.2 (Bank-only Financial Statements)

❑ Emerging Risks

KBank is prepared for numerous challenges over the next five years. Aside from impacts on economic and business trends, they could affect the commercial banking business, directly and indirectly. In detail:

Emerging Risks	Description of Risks	Potential Business Impact of the Risks	Mitigating Actions
1. Climate Change	**Climate change directly impacts physical risk. It may come in the form of natural disasters,** namely storms, floods and drought, which have become more frequent and severe. Indirectly, it could lead to transition risk, wherein new rules and regulations are to be implemented to mitigate environmental problems over the long term, especially during the transition to prevent and mitigate social impacts.	**Climate change-induced natural disasters** have become more frequent and intense. Aside from direct impacts on businesses throughout their supply chains, such extreme events have also had indirect effects - leading to greater awareness in the society at all levels - from the community, to the national and global levels. To combat environmental issues over the long term, more stringent rules and regulations, including trade-related measures, have been implemented by many countries. **In response to regulatory changes and introduction of climate change risk management guidelines,** businesses must bear increased costs in various forms, namely investment in additional equipment, indemnity expenses, research and development expenses, opportunity cost incurred from delays in commercial operations, and forced cancellation of projects. Moreover, there areindirect effects on the image of customers' and sponsors' businesses. Without proper and timely adjustment, competitiveness and debt servicing ability of the business sector may be jeopardized, which would eventually affect KBank's asset quality.	**KBank is aware of relevant risks.** We always recognize the importance of impacts of our business operations on the environment and society. They could potentially create reputation risk which may cause financial loss to KBank, especially via loan transactions. **We have assessed risks and opportunities, and conducted climate-related scenario analyses,** both qualitative and quantitative, in line with the Task Force on Climate-related Financial Disclosure's recommendations. **Impact analysis has been undertaken based on loans granted to businesses at the portfolio level.** Focus is on risks and opportunities of each business vis-à-vis the society and environment. The results will be used for target setting, determination of loan portfolios in each industry, KPI and monitoring of credit extension. Strategy for portfolio management over the short, medium and long term will be formulated in order to achieve the set goals. **KBank also has in place a policy to support each industry, while environmental and social risk assessment has been conducted for each customer.** We have collaborated with our customers to mitigate risks, in alignment with KBank's policy of supporting the

Emerging Risks	Description of Risks	Potential Business Impact of the Risks	Mitigating Actions
			target of reducing the country's greenhouse gas emissions by 20-25 percent (from the Business-As-Usual (BAU) baseline level) within 2030. This is in line with Thailand's ratification of the Paris Agreement that sets out a framework for limiting global warming to less than 2 degree Celsius as well as the UN's Sustainable Development Goals.
2. Cyber Risk	**KBank endeavors to become a digital banking trailblazer.** We aim to respond to the "new normal" lifestyle driven by the COVID-19 pandemic, which has served as a catalyst for digitalization wherein consumers are increasingly reliant upon digital technology. **Cyber threats are potentially disastrous.** They may come in various forms coinciding with the evolution of more rapid and sophisticated technologies. Such as cyberattacks on cloud computing or cyberattacks that target consumers, who are tricked into divulging confidential or personal information that may be used for fraudulent purposes. The most common forms of cyberattacks are phishing and social engineering crimethat may bring harm to individuals and organizations.	**Cyberattacks have direct impacts on KBank at multiple levels.** To be more specific: 1) KBank's services could be disrupted if the Bank's computer systems are targeted 2) KBank's data could be accessed and released without authorization. **Aside from causing financial harm to KBank,** cyberattacks could jeopardize customers' confidence towards our services and alsoKBank's reputation. We may also be subject to penalty imposed byauthorities if rules and regulations are violated. **Meanwhile, customers could incur financial loss** if they are attacked by cybercriminals.	**KBank has implemented measures for cyber risk management** that encompass effective risk identification, threat prevention, proactive threat detection, timely and effective threat response and the establishment of a cyber hygiene culture to ensure awareness of cyber threats at all levels – from the Board of Directors to executives, employees, customers and suppliers. **To prevent and manage cyber threats Bank-wide,** we have employed relevant tools while also bolstering our technological capabilities for controlling advanced threats and preventing zero-day attacks. **Furthermore, KBank has enhanced our IT security management on a continual basis** to meet global standards and in line with regulatory requirements, namely ISO 27001 certification and the Personal Data Protection Act (PDPA).
3. Pandemic Risk	**Pandemic Risk (Emerging Infectious Diseases)** is deemed a key risk that KBank and other organizations around the globe	**Pandemic risk can escalate to the extent that** there are wide-ranging effects on economic and social systems that directly and indirectly	**KBank has established proactive measures for pandemic risk management.** This ensures that we can continually operate our business

Emerging Risks	Description of Risks	Potential Business Impact of the Risks	Mitigating Actions
	must continually monitor and be prepared for. **Its major challenge** lies in the fact that the source or cause of the infectious disease cannot be readily identified. Nor can the scope of its impact be immediately determined, due to uncertainty regarding its transmission and severity, as well as its duration. In many cases, it takes considerable time before vaccines can be produced to ease, prevent or put a stop to a pandemic. **Another challenge lies in change in management processes** and methods to cope with the situation in conformity with the government's measures.	affect KBank's performance in three major areas, i.e., - **Customer Service**: KBank has adjusted the format of our business operation and service provision to ensure safe and continual services for our customers. - **Employees' work performance**: We have adjusted work formats, with employees' safety as our prime concern. - **Compliance with the government's guidelines**: KBank must be prepared for and strictly comply with directives issued by the government, the Ministry of Public Health and related agencies.	and provide services to our customers, suppliers and other stakeholders without interruption. Our operational plan comprehensively covers prevention, monitoring and response to the pandemic. **Moreover, KBank has formulated a dynamic provisioning plan to cope with impacts from deteriorating asset quality during the crisis.** This effort has allowed KBank to provide relief measures to ease the adverse impacts on every stakeholder, namely customers, suppliers, shareholders, society and communities. **Furthermore, we have improved stress testing processes and models** for enhancement of our forward-looking and preventive portfolio management. So doing helps KBank to operate our business continually and sustainably.

1.3 Significant Regulations and Rules related to Business Operations[1]

Significant regulations and rules that may have affected KBank's and K Companies' business operations included:

- **Rules on Calculation of Default Interest Rates and Payment of Outstanding Debt**

The Bank of Thailand issued Notification No. SorKorSor2. 9/2563 (2020) Re: Calculation of Default Interest Rates and Payment of Outstanding Debt, which contains three major points related to adjustment of guidelines in the Thai financial system, as follows:

1. Calculation of default interest rates shall be made on the principal amount overdue, excluding the portion of principal amount that will come due in the future (effective April 1, 2021).

[1] Additional details on Significant Regulations and Rules related to Business Operations for 2020 can be obtained from Management Discussion and Analysis for the first, second and third quarter of 2020 .

2. Default interest rates shall be based on the interest rates stipulated in the contract plus not more than 3 percent p.a. (effective July 1, 2021).
3. Payment of outstanding debt shall be made in a specific order, putting priority to payment of fees, interest and the principal amount of the outstanding debt with the longest past-due period (effective July 1, 2021).

KBank is now improving the work system to correspond to the Bank of Thailand's guidelines.

- **Rules on Supervision of Debt Restructuring Programs**

The Bank of Thailand issued Notification SorNorSor. 20/2563 (2020) Re: Rules on Supervision of Debt Restructuring Programs, effective October 1, 2020, with major points as follows:

1. Debt restructuring programs cover cases that involve one or more debtors.
2. This Notification will apply to operators of credit card business, personal loan under supervision, nano finance under supervision and asset management companies.
3. Business operators can undertake debt restructuring on their own based on the principles and criteria for debt restructuring, conditions and practical guidelines in the same way as the programs stipulated in this Notification without requiring an intermediary agency.
4. Debt restructuring must be undertaken with caution; it should not create improper incentives for either the debtor or participating business operators. For instance, it must not encourage borrowers to opportunistically not service their debt or prompt business operators to circumvent their compliance with the Bank of Thailand's regulations such as rules on debt classification and setting aside of reserve requirement by financial institutions. All participating business operators shall receive equitable treatment.

KBank has already taken actions as required by the Bank of Thailand.

- **Operational Guidelines Related to Debt Restructuring to Assist Debtors after the End of the Debt Payment Holiday Program**

After the loan holiday program offered to SME operators under the Emergency Decree on Financial Assistance to Small and Medium-sized Enterprises Affected by Coronavirus Pandemic B.E. 2563 (2020) expired on October 22, 2020, the Bank of Thailand established operational guidelines for debt restructuring of crisis-hit customers per the circular No. BOT.ForNorSor. (23) Wor. 1135/2563 (2020) Re: Operational Guidelines Related to Debt Restructuring to Assist Business Customers after the End of Loan Payment Holiday Program under the Emergency Decree. Major points can be summarized as follows:

1. Banks shall consider debt restructuring for small and medium-sized operators under the debt payment holiday program who cannot return to servicing their debt per the existing loan contract. Pending the debt restructuring process, banks can maintain the debtor's loan classification until December 31, 2020.

2. Even if the debtor's cash flow assessment cannot be undertaken, which prevents completion of the debt restructuring process by December 31, 2020, banks may provide assistance to the debtor by deferment of principal and/or interest payment for a period appropriate for their debt servicing ability, which should not be more than six months from the end of 2020, while their loan classification must be kept intact. In this regard, action must be taken to find ways to restructure their debt without further delay.

KBank has undertaken operations per the Bank of Thailand's guidelines.

- **Policy on Dividend Payment based on Bank's Operating Performance**

The Bank of Thailand issued Circular No. BOT. ForNorSor. (23) Wor. 1236/2563 (2020) Re: Policy on Dividend Payment to Increase Capital to Cope with Risks from the COVID-19 Situation, dated November 12, 2020. This Circular shall replace the Bank of Thailand's Letter No. BOT. ForNorSor. (23) Wor. 643/2563 (2020) Re: Increasing Capital to Cope with Risks from the COVID-19 Situation, dated June 18, 2020, which had prohibited banks from paying interim dividend from their operating results for 2020.

The Bank of Thailand has determined that commercial banks have adequate levels of capital and loan loss provisions. However, due to the highly uncertain situation in the near future, commercial banks are allowed to pay dividends based on their operating results of 2020 at the rate not exceeding the dividend payout ratio of 2020 and not more than 50 percent of their net profit of 2020. Moreover, they are prohibited from repurchasing shares, or redeeming or buying back debt instruments that are considered to be Tier 1 capital or Tier 2 capital before their maturities. If banks are to make early redemption or repurchase of debt instruments to reduce financial cost, they are required to prepare a fund raising plan or issue debt instruments that can be counted as capital fund in order to maintain sufficient levels of capital.

These guidelines are intended to be preventive measures which serve to strengthen the capital position of banks to cope with potential risks and sufficiently accommodate extension of loans in order to continually support economic activity as well as maintain the stability of the banking system as a whole.

KBank has acknowledged these regulations and prepared for relevant operations in conformity with the Bank of Thailand's established guidelines.

- **Notifications of the Director-General of the Revenue Department regarding Income Tax (No. 396 and No. 397)**

Notifications of the Director-General of the Revenue Department (No. 396) Re: Determination of Rules and Procedures for Claiming Income Tax Deduction for Payment of Interest on Loan per Section 47 (1) (Sor) of Revenue Code and (No. 397) Re: Determination of Rules and Procedures for Tax Exemption of Income Equal to the Amount Paid for Interest on Loan Applied for Purchase, Hire Purchase or Construction of Residential Building which is Pledged as Collateral against the Loan per Article 2 (53) of Ministerial Regulation No. 126 (B.E. 2509) (1966) were issued under the Revenue Code regarding income tax exemption.

Income earners who wish to exercise their right to claim income tax deduction per these Notifications for payment of interest made to the creditor who is a bank or other financial institution, life insurance company, or Secondary Mortgage Corporation for loan applied for purchase, hire purchase or construction of residential building which is pledged as collateral against the loan per the actual amount paid, which must not exceed Baht 10,000, and for the amount in excess of Baht 10,000 but not more than Baht 90,000 (per the Notifications No. 396 and No. 397, respectively), must comply with the following criteria:

- Individuals who enter into a loan contract from January 1, 2021 onward must express their intention to exercise their right to claim income tax exemption for payment of interest on loan to the relevant creditor.
- Individuals who enter into a loan contract before January 1, 2021 may choose to not exercise their right to claim income tax exemption for payment of interest on loan to the relevant creditor. However, evidence issued by the creditor as a proof of interest payment on loan is required.

These Notifications shall be first applied with taxable income of the 2021 tax year, onwards. KBank shall submit data of income earners who wish to exercise their right to claim income tax exemption to the Information Technology Division, Revenue Department, by January 15 each year. The data, which must be in electronic form, shall be submitted per the method required by law by January 15, 2022, for the first year.

- **Rules on Foreign Currency Deposit and Investment in Foreign Instruments and Derivatives**

The Bank of Thailand issued Notice of the Competent Officer of Foreign Exchange Control regarding Rules and Practical Methods Related to Foreign Exchange (No. 31), and Notice of the Competent Officer of Foreign Exchange Control regarding Determination of Rules and Practical Methods Related to Investment in Foreign Instruments and Derivatives, effective December 5, 2020. Major points are summarized below:

1. Relax criteria for Foreign Currency Deposit (FCD), namely, integration of an FCD account to one type, and permission is granted to Thai individuals to purchase foreign currencies for depositing into their own FCD account, and to make funds transfer between Thai individuals via FCD account without limit.
2. Expand the limit of direct investment in foreign securities by retail investors to not more than USD 5 million per year, and allow them to invest via an intermediary with no limit.
3. Expand types of foreign securities eligible for investment to include foreign-denominated securities issued and sold in Thailand such as Exchange Traded Fund (ETF), and Depository Receipt (DR) with foreign securities as underlying assets.
4. Revise supporting documents for purchase or withdrawal of foreign currencies for payment of the purchased securities to non-residents. For instance, investors must submit a form for notification of objectives for investment in foreign instruments and derivatives issued by the

Bank of Thailand. Moreover, investors under the supervision of the Office of Securities and Exchange Commission (SEC) are not required to present a letter of limit allocation from the SEC, starting from January 1, 2021.

5. Allow investors and individuals investing via an intermediary to borrow foreign currencies for investment in foreign securities without the need to repatriate funds into the country. In addition, they are permitted to purchase or withdraw foreign currencies for repayment of said loan by submitting documents as required by the Bank of Thailand.
6. Allow banks in the People's Republic of China (Yunnan province only) to repatriate funds in Baht withdrawn from the non-resident Baht account (NRBA) to their home country in the amount of more than Baht 2 million with submission of documents required by the Bank of Thailand for outward remittance.

KBank has revised work systems and relevant operational procedures to be in line with the relaxed rules.

2. Risk Management and Risk Factors [2]

2.1 Overall Risk Management

Risk Management is an integral part of our organizational culture. We have established risk management policy and risk appetite, and risk management has taken into account when formulating our strategies and business undertakings to support business growth. This is to ensure sustainable stakeholders' returns. KBank's risk management strategy has been established in line with international guidelines and principles, and applied throughout the Conglomerate in accordance withconsolidated risk management framework that emphasizes management of various types of risks, e.g., credit, market, liquidity, operational, digital and strategic risks. KBank's risk management structure clearly determines duties and responsibilities of relevant units, including an independent risk management unit, while risk-adjusted performance measurement has been applied with each business unit.

KBank's risk, capital and liquidity management is under the supervision of the Board of Directors, which is responsible for ensuring the appropriate level of capital and liquidity to accommodate our present and future business operation. Meanwhile, KBank ensures that policies, processes and systems for controlling, monitoring and reporting risks, capital and liquidity are in place whereas segregation of duties and reporting lines are clearly defined in conformity with the good internal control principle. We also emphasize thorough, accurate and regular disclosures on risk, capital and liquidity management to the public.

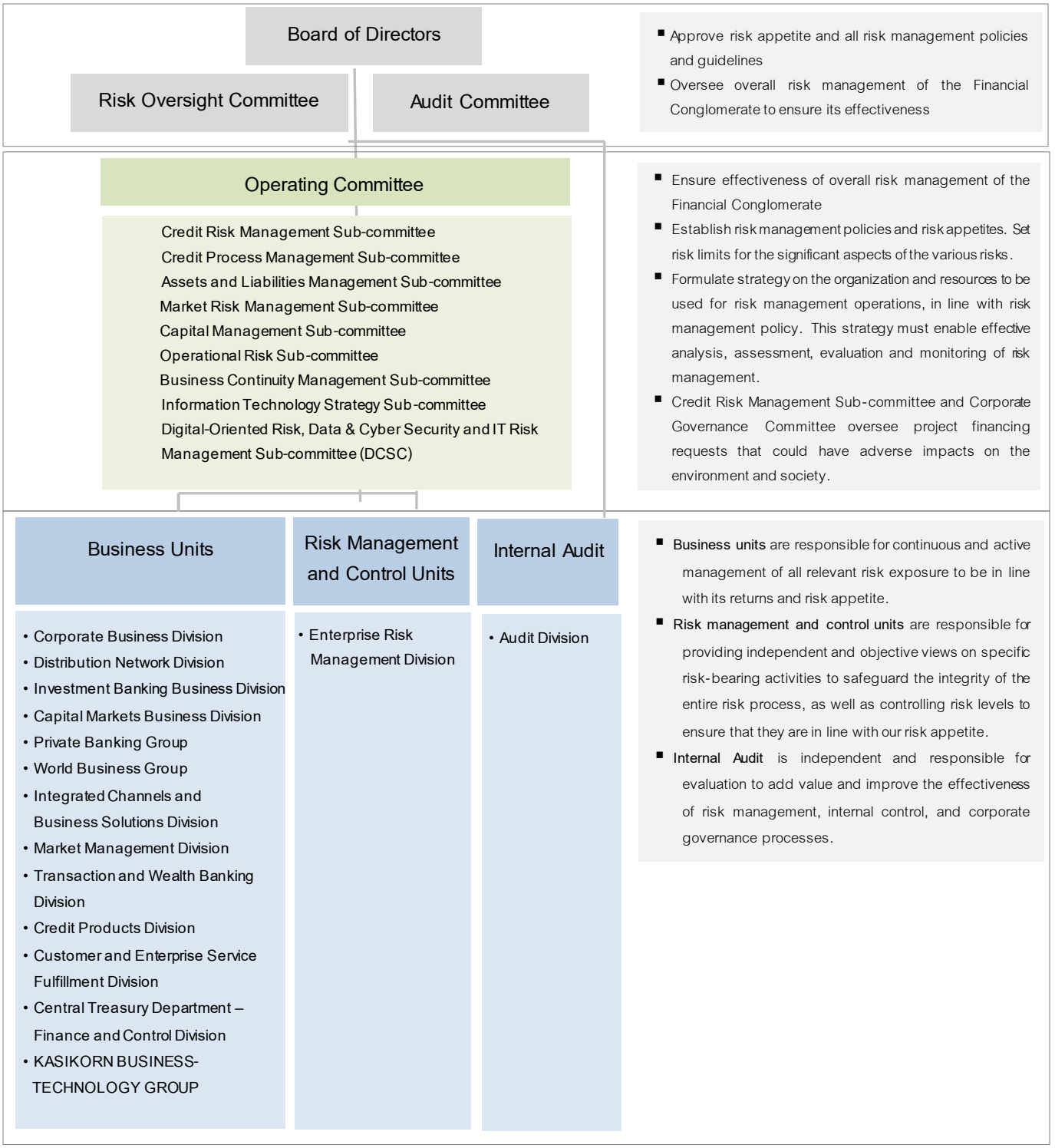
To affirm the importance of environmental and social impact management, KBank has formulated a policy of responsible lending and investment, along with the consideration processes that take into account the ESG factors in conformity with international practices, via an operational structure that is divided into management and transaction levels. An Exclusion List has been established for projects that are ineligible for KBank credits, along with a Sector-Specific Guidelines and intensive risk management measures for high-risk customers, to ensure that no projects that have been supported by KBank will have any adverse effect on the environment or society, as well as KBank's image and operations, while enhancing stable business advancement and sustainable returns for all stakeholders in the long term.

In addition, KBank became a signatory to the UN Principles for Responsible Banking of the United Nations Environmental Programme Finance Initiative, or UNEP FI, and participated as a Supporter of the Task Force on Climate-related Financial Disclosure (TCFD). These will ensure that, in the long-term, KBank's operations will be in line with international standards, business strategies will be consistent with the United Nations' Sustainable Development Goals (SDGs) and the Paris Agreement on Climate Change, and information disclosure will be developed to align with international principles.

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[2] Details of various risk management and other related information, in accordance with the Bank of Thailand Pillar 3 requirement and disclosure principles, are shown in "the Basel III Pillar 3 Disclosure" section on KBank's website. More details of responsible lending and investment: ESG credit and investment can be found in the Sustainability Report 2020.

Risk Management Structure



❑ Key Developments to Strengthen Risk Management

KBank places great emphasis on effective and timely risk management. Risk management policies, tools and processes have been developed and are reviewed regularly to guard against rising risk trends in line with market volatility, and to ensure that they are appropriate for changes in regulatory requirements, including domestic and global economic policies. Relevant actions taken were as follows:

- **Establishment of proactive risk management amid the COVID-19 pandemic** to ensure continuity in our customer services, and the business operations of KBank, customers, suppliers and other stakeholders. Proactive risk management has been in place for continual prevention, monitoring and management of the situation. In addition, we have formulated strategies for management of COVID-19 risk and implementation of assistance measures for all stakeholders, including customers, suppliers, shareholders, society and community.
- **Enhance impairment provisioning process under TFRS9 standard:** Credit risk models, asset classification criteria, provisions, and economic factors determination have been enhanced in accordance with TFRS9 standards. Credit risk management process has been enhanced to be consistent with asset classification and provisioning under TFRS9. Along with this, we have initiated a dynamic provisioning plan to cope with potential impacts of asset quality deterioration in this time of economic uncertainty from COVID-19 pandemic.
- **Improve stress testing processes and models** to ensure that our business growth is within the risk appetite and also enhance efficiency in risk and capital management as well as assessment of capital adequacy and liquidity position. KBank focuses on improvement of forward-looking and preventive portfolio management in the midst of a highly volatile economic environment, in conformity with the Bank of Thailand's regulations and directions. We have also initiated a persona-based segmentation model to enhance efficiency in analysis, monitoring and management of customer risk profiles.
- **Active Credit Portfolio Management (ACPM) appropriate for each customer segment to manage impacts of COVID-19:** We have employed customer transaction data for risk analysis and assessment. Customers have been classified by impacts and their debt servicing ability, which has allowed us to provide them with appropriate relief measures. This includes restructuring for business customers and payment holiday for retail customers to ease the impacts of the COVID-19 pandemic, ensuring that KBank can maintain sustainable growth within risk appetite under normal and stress scenarios.
- **Continuous upgrade of information security management to meet global standards:** KBank's information security management system has been awarded ISO 27001:2013 certification for the seventh consecutive year. We were also awarded PCIDSS V3.2.1 for our credit card data security

system, which covers Payment Gateway on Cloud available for card accepting merchants, and PCI PIN Security V3.0 for the security system for card use at ATMs.

- **Strengthening of customers' data protection and privacy management:** A working group was set up to study and take action to comply with the Personal Data Protection Act (PDPA) which will come into force in June 2021. The actions include policy revision, and process and technology updates covering control measures and relevant infrastructure to support consent management and customers' exercising of rights. Moreover we have also communicated to employees to ensure that they recognize the importance of compliance with the PDPA while the progress reports have been reviewed and presented to KBank's executives on a regular basis.
- **Implementation of measures for controlling advanced threats** including advanced threat prevention, e.g., enhancement of capability of various cyber security solutions to prevent zero-day attacks, proactive threat detection, e.g., increase visibility to detect external threats, and timely and effective threat response in order to stay ahead of fast-changing cyber threats that are always becoming more diverse and sophisticated.
- **Reinforcing a cyber hygiene culture** that involves the Board of Directors, management, employees, customers and suppliers, through dissemination of knowledge in various media such as a cyber awareness campaign for customers, e-learning, security newsletter, cyber news alert, and infographics. Moreover, a phishing drill exercise was conducted to raise employees' awareness of the phishing threat.
- **Enhancement of End-to-End Product Management Framework** to ensure that all key products and services are managed efficiently, aligned with customers' needs and controlled with acceptable risk level.
- **Establishment of Business Partner and Third-Party Risk Management Policy and Framework** which covers risk assessment, selection process, contract preparation, risk monitoring and termination of service with business partners and third party to ensure that risk management of service , system interface, or data access by business partners and third party is managed appropriately, securely and consistent with relevant regulations.
- **Upgrade of risk- and customer management-related functions** to be more integrated and efficient by the Risk and Customer Working Group which consists of key members from related parties. The upgrade is to ensure that the Bank can provide various products and services to align with customers'needs and increase business growth in the digital world more efficiently, while key risks and customer experience related issues are defined and managed securely and appropriately.

- **Continual enhancement of fraud management and intelligent system** to ensure the security of customers' transactions and increased efficiency in fraud detection via transaction fraud module for a broader coverage of transactions via various channels.
- **Enhancement of market conduct management** by taking into account customer's demand, financial status and understanding to ensure that they receive better experience and treatment with complete and accurate information.
- **Preparation for Basel regulatory reform:** KBank has continuously monitored the changes in Basel international standard and the Bank of Thailand's regulation requirements to assess the potential impacts on our capital. To ensure that our capital base is at appropriate level and adequate for business operations per the business plan.
- **LIBOR discontinuation preparation:** To ensure KBank's readiness for LIBOR (London Interbank Offered Rate) cessation, KBank has set up a working team to handle all related aspects, including legal issues and contracts, communication, as well as risk management and system. Moreover, KBank has started to execute THOR (Thai Overnight Repurchase Rate – Thailand's new benchmark rate to replace THBFIX) transactions as THOR will replace LIBOR and THBFIX (Thai Baht Interest Rate Fixing) to encourage the development of Thailand's financial markets during this transition period.

2.2 Risk Management

KBank has placed an emphasis on comprehensive risk management such as credit risk, market risk, liquidity risk, operational risk, digital risk and strategic risk, all of which are properly managed.

❑ Credit Risk Management

'Credit risk' refers to risk whereby a counterparty or borrower may default on contractual obligations or agreements, or have an intention not to abide by an agreement, resulting in losses to KBank. KBank thus places significance on credit risk management compatible with international standards and regulatory requirements, environmental impacts and climate change that may be caused by KBank business operations, to ensure sustainable growth and reasonable returns to stakeholders.

In 2020, KBank focused on customer service and credit risk management for every customer segment. Customers' businesses were challenged by the COVID-19 pandemic, the global economic slowdown and subdued trade. The viral transmission served as a catalyst for digital disruption. KBank thus put in place more stringent customer screening criteria, and continually issued assistance measures – particularly for small and micro businesses as well as retail customers – while also seeking to acquire customers with stronger financial status and sound debt servicing ability. KBank has emphasized customers' early warning sign detection and behavior monitoring to ensure efficient monitoring, recovery and collection processes.

Credit Risk Management Policy

To achieve sustainable growth, our credit strategy focuses on a balance between portfolio value creation and protection within our risk appetite. Credit policy and related credit procedures must comply with this strategy and must be in line with laws, the Bank of Thailand's regulatory requirements, the government's policy adjustment and the plan that focuses on United Nations Sustainable Development Goals (SDGs), including how to cope with climate change, that may affect business operations in terms of risk and business opportunity.

KBank reviewed credit risk management policy, accounting for impacts on the environment and society, including the launch of new products and services and operations in atypical circumstances such as management to mitigate impacts of COVID-19 on our customers, to ensure that all our customers, especially SMEs, can continue to operate their businesses with our suitable credit quality management. We have improved standards and guidelines for credit extension that are now more conducive to KBank's sustainable growth. Such revisions were monitored for their impacts on portfolios and updated for reference in KBank's database available to relevant users, covering criteria for credit granting, credit management process, and credit risk management tools.

Credit Risk Management Process

The COVID-19 pandemic has had wide-ranging, devastating impacts. Given the high uncertainty, KBank has closely and continually monitored our customers and provided them relief measures. These actions were taken in addition to our usual credit risk management process in place within the Financial Conglomerate.

We helped our customers to ensure that they will have sufficient funds and liquidity for their daily lives and businesses. Among the relief measures were suspension of principal and interest payment, loan for liquidity enhancement, and debt restructuring for crisis-hit customers to ensure that they can regain a firmer footing with improved financial standing and debt servicing ability under the debt restructuring program.

A credit risk management process, from portfolio management to recovery and collection, has been established and continuously enhanced to appropriately reflect and manage risk involved amid impacts from the COVID-19 pandemic, to be in line with international guidelines and practices so as to promote business capability.

- Portfolio Management

KBank emphasized active portfolio management in order to proactively respond to prevailing circumstances, particularly volatility of economic factors that could affect our customers and our portfolio quality. Via Active Credit Portfolio Management (ACPM) and stress testing, KBank can manage, identify and prioritize assistance for customers so as to implement measures to aid each customer segment in a timely manner. Meanwhile, KBank has also focused on portfolio management so as to control credit concentration within the established limits. Close monitoring of customer risk

profile was undertaken. The loan growth target has also been established in alignment with prevailing economic conditions, taking into account customer segments, product domains and industries, to maximize returns from each customer segment portfolio under risk appetite.

KBank adopted credit risk management mechanisms as follows:

- **Set up Credit Risk Management Sub-committee and Credit Process Management Sub-committee.** The committee managed a balance between credit risks and process efficiency to ensure effective risk management and consistency throughout credit processes, thus allowing KBank to deliver a good customer experience.
- **Revise customer screening criteria on a regular basis to reflect customer risk profile.** Credit policy has been tailored for each customer segment. Industry pre-screening criteria, which can be used as a guideline for customer selection, have been established to classify customers based on sector risk levels.
- **Establish risk management mechanism in response to risk events which may affect our customers.** Early warning sign monitoring will trigger actions of responsible departments to assess impacts on affected customers and KBank by conducting in-depth analysis and stress testing. Thus, KBank shall be able to proactively prevent and solve any problems which may arise in a timely manner prior to deterioration of customers' debt servicing capability and overall credit quality of KBank.
- **Monitor customers' credit line utilization and customer status via early warning signs.** Guidance has been provided for Relationship Managers to contact customers at an early stage when early warning signs are detected.
- **Manage credit concentration risk** in terms of borrower group concentration, sectoral concentration and country concentration. Credit exposures are maintained within predetermined limits, per the Bank of Thailand's guidelines.

- **Credit Underwriting and Approval**

KBank has formulated lending policy to ensure uniformity of good credit underwriting practices and comply with the Bank of Thailand's supervision guidelines. Guidelines for preferable and discouraged practices are also defined to ensure quality of credit extension.

KBank's credit risk management is based on current, transparent and qualified data. The credit approval processes and systems are designed to align with customers' characteristics. Medium and Large Business customers with sophisticated financial needs are served by Relationship Managers (RMs) with thorough understanding of customers' business and financial profiles. RMs are

responsible for analyzing and proposing suitable credit products, services and limits to match customer needs, presenting credit proposal to credit underwriters according to the defined approval authorities, and continual monitoring customer status.

For retail customers whose main products comprise home loans, credit cards and other personal loans, including loans for small and micro businesses, KBank deploys credit scoring as a credit approval tool, focusing on verification of income and liability information accuracy and consistency of each customer. KBank has also focused efforts on credit approval process improvement, while ensuring risk levels under risk appetite.

Aside from the above practices, KBank realizes the importance of responsibility toward society and the environment practices in our credit underwriting. Guidelines and policies for environmental and social impacts have been established for project finance requests at home and abroad, including project monitoring throughout the credit term. Moreover, commercial loan for medium-sized enterprises or larger must be processed through the ESG assessment.

- **Post-Credit Approval Operations**

KBank has centralized credit operations covering legal and contract-related arrangement, preparation of collateral agreements, credit limit setup, credit disbursement, credit-related document storage and credit data support. KBank also set up processes to monitor compliance with contractual conditions in order to enhance standard and efficiency of post-credit approval operations.

- **Impairment Losses of Financial Assets**

KBank has set aside allowance for impairment losses of financial assets by estimations of cash shortfalls based on the Thai Financial Reporting Standards, taking into account probability of default, the time value of money, consideration of all reasonable and supportable information, and macroeconomic forward-looking information.

- **Debt Quality Monitoring**

KBank has developed risk indicators to monitor and control asset quality, as well as credit-utilization behavior, as early warning signals to prevent deterioration in credit quality. Credit bureau data is used to support credit limit renewals and credit quality monitoring, thus achieving greater efficiency.

For large business customers, KBank assesses customers' credit status closely, using established indicators to ensure timely management prior to delinquency. KBank has also set up guidelines, such as those for credit review and limit suspensions, specific to each customer segment, according to segment risk characteristics. Regarding small and micro business as well as retail customers, all likely to be affected by the COVID-19 pandemic which caused a sharp contraction of the economy, KBank issued assistance measures for them while also establishing collection strategies

to better respond to the varied risk levels of different customer groups. KBank managed customers in such a way as to prevent them from becoming NPLs, with a focus on swift and efficient management of recovery and collection.

- **Credit Process Review**

KBank has conducted a review of credit policy and process including credit proposal presentation, credit underwriting, contract preparation, credit review and asset quality monitoring and review, to ensure the consistency of credit process with credit policy and regulatory requirements. KBank also utilized information from the review to support our credit management standard development.

❑ Market Risk Management

Market risk may arise from changes in interest rate, foreign exchange, equity and commodity prices, as well as credit spreads. These changes affect KBank's and K Companies' present and future income, capital, the value of financial assets and liabilities as well as off-balance sheet items. KBank engages in a consolidated risk management framework through development of essential infrastructures and processes for timely and appropriate management of the market risk of financial products. In addition, we have established product management process for both existing and new products. In 2020, global financial markets were highly volatile due to three main factors, including the COVID-19 pandemic, the unresolved US-China trade war and Brexit. All of these circumstances contributed to risk-off sentiment in financial markets. Investors thus opted for selling several assets and increased their holding of safe-haven assets instead, especially US Dollars. As a result, the Thai Baht weakened against the US Dollar. Moreover, the easing monetary policies adopted by central banks worldwide to support an economic recovery prompted Thai and US interest rates to decline.

As the year-end approached, however, global money and capital markets received a boost from the result of the US presidential election and progress of COVID-19 vaccine development. This led to greater capital inflows into emerging markets in Asia, especially Thailand thanks to its economic stability, as evidenced by an ongoing current account surplus despite the present crisis, as well as low inflation rates. The Thai bond market, especially short-term bonds, saw increased capital inflows. Therefore, Thai government bond yields declined across all maturities. Meanwhile, the Thai Baht strengthened thanks to regained investor confidence.

For the 2021 outlook, global financial markets are set to be challenged by the resurgence of the COVID-19 pandemic. Several countries have reinstated lockdown measures, which would derail investors' confidence. On the plus side, however, the efficacy of the COVID-19 vaccines and their widespread use will shore up a potential global economic recovery and restore investor confidence. Moreover, the trade deal clinched by the UK and the EU and favorable international policies of the new US president may help ease tensions caused by the trade and tech war between the US and China – which could enliven the global trade and investment atmosphere, going forward.

- **Market Risk in Trading Book Activities**

KBank's trading activities are exposed to risks of interest rate, foreign exchange, equity and credit spreads. Moreover, KBank has chosen not to retain any position when dealing with commodity prices by managing market risk through a back-to-back policy. Our equity risk stems from equity underwriting and non-directional trading business, which we undertake only for serving customer needs. KBank has processes in place to measure and control risks within the established limits, under the supervision and control of the Enterprise Risk Management Division.

- **Market Risk in Banking Book Activities**

KBank is exposed to interest rate, equity price and foreign exchange risks in banking book transactions, i.e.:

— **Interest Rate Risk in Banking Book Activities**

Interest rate risk refers to risk incurred from changes in interest rates of assets and liabilities, as well as off-balance sheet items that are susceptible to interest rate fluctuations. These may, therefore, have an adverse impact on net interest income and economic value of KBank.

KBank manages its financial position to increase net interest income and economic value, based on adequacy of liquidity position. Therefore, KBank has established an interest rate risk management framework to ensure that our position is within the pre-specified risk appetite, and that the impact of interest rate changes on net interest income and economic value of KBank is under control.

KBank continually monitors interest rate risk in banking book activities by conducting interest rate risk gap analysis to assess net interest income sensitivity over the next 12 months, based on an assumption of a 1.00-percent change in interest rates on all types of assets and liabilities at their re-pricing periods. The results of that risk assessment are shown below:

Net Interest Income Sensitivity to Interest Rate Change

(Unit: Million Baht)

For the Year Ending	Dec. 31, 2020
	+100 bps
THB	(734)
Foreign Currencies	74
Total Effect of Interest Rate Change	**(660)**

— **Equity Risk in Banking Book Activities**

KBank is exposed to equity risk from investment in equities, either directly or indirectly via funds. We have complied with regulations and procedures of relevant regulators under the established risk limits. However, KBank has no policy to increase investments on equity that are

not related to our financial business operations. Data analyses and close assessments of relevant events have been employed in order to manage equity investment to ensure maximum benefit of KBank.

- **Foreign Exchange Risk in Banking Book Activities**

  KBank is exposed to foreign exchange risk incurred from our overseas operations, investment and any activities related to banking book which incur foreign exchange exposure. KBank has chosen not to retain foreign currency position stemming from such activities, except where there is market limitation of risk hedging, or for the purpose of appropriate cost management in risk hedging during certain periods. KBank has a monitoring process and control measures in place to ensure that risk is within an acceptable level. Foreign exchange risk management is under supervision of the Assets and Liabilities Management Sub-committee, with the goal of highest cost efficiency under the risk limits approved by the Risk Oversight Committee and the Board of Directors.

❑ Liquidity Risk Management

Liquidity risk is defined as the risk caused by a failure to obtain sufficient funds at appropriate costs to meet obligations when they come due, and/or an inability to convert assets into cash.

Liquidity in the banking system during 2020 was ample because deposits saw stronger growth than net loans. Meanwhile, liquidity management at given periods may vary from bank to bank, depending on its liquidity position and management guidelines. KBank has been fully equipped with tools for appropriate liquidity management both in terms of foreign currencies and Thai Baht to protect ourselves against any potential liquidity shortage. Aside from efficient monitoring of liquidity risk in light of situations that may incur risk indirectly, we have also adopted a Business Continuity Plan to guard against disruptions to essential operations and systems, allowing us to fulfill our obligations when they come due. KBank has assessed and conducted liquidity risk through liquidity gap analyses, covering both normal and crisis situations, under three scenarios, i.e., liquidity crises that are either bank-specific, market-wide, or a combination of both circumstances.

KBank has also developed tools to assess and analyze liquidity risk that meet international standards including Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). This allows us to devise an effective plan for overall liquidity management, including foreign currencies and adjustment of our funding structure in response to changing market conditions and liquidity in the banking system. We determine appropriate strategies to maintain a suitable level of foreign currency liquid assets, consistent with growth in foreign currency deposits, and to guard against any heightened liquidity risk stemming from volatility in the global economy and fast changing financial asset prices, taking into account business growth potential.

Closely monitored factors that could affect our liquidity and interest rate risks include:

- Global and Thai economic outlook over the short and medium terms, including impacts from the US-China trade war and the COVID-19 pandemic
- Key policy rate trend of the Bank of Thailand and major central banks
- Direct and indirect foreign capital movements triggered by internal and external risks
- Intensified competition among financial institutions in savings and investment products that may affect overall liquidity in the banking system
- Increasing demand for loans which could affect liquidity in the banking system

❑ Operational Risk Management

Operational risk refers to the risk of direct or indirect losses to a bank's revenue or capital resulting from incorrect or inadequate processes, personnel, operating and/or IT systems, or external events. KBank has thus placed importance on operational risk management through the development of policies and operational risk frameworks to enhance our operational risk management as a unified standard, prompting enhancements that allow us to assess risk and proactively seek preventive measures.

In 2020, KBank strengthened operational risk management in various key areas to assure that customers will continually receive fair service and treatment and align with customer requirement under efficient risk management process. Key focus areas cover establishment of proactive risk management amid the COVID-19 pandemic to ensure business continuity, the enhancement of end-to-end product management throughout product cycle, development of the business partner and third party risk management, improvement of system interface or access to data of customers or KBank, strengthening risk-related functions to be more integrated and efficient, and enhancement of market conduct management to ensure that customers receive fair service and treatment.

❑ Digital Risk Management

Digital risk refers to risk that may arise from financial services via digital channels, data management, cyber threats and the use of IT to support business operations. It may come from internal or external factors, possibly having adverse impacts on, or causing financial or non-financial losses to, KBank and our customers, either directly or indirectly.

KBank aims to maintain our growth and our market leadership in digital banking services. To achieve this challenging goal, customer trust holds the key; customers must feel confident and secure when using our services. Recognizing the importance of digital risk management, we have put in place measures for managing relevant risks under an operational risk management framework, and established additional IT risk management policies and framework for enhanced efficiency in work processes, control and orderly risk management process in line with related international standards such as ISO 27001 and ISO 31000, in accordance with the Bank of Thailand's policies and guidelines.

In 2020, KBank revised a plan for development of digital risk control system to be consistent with cyber threats and past performance. Significant risks include risk incurred from operations and IT that accommodate innovative financial services and products or new channels to respond to customers' needs, heightened risk in linkage with business partners, adoption of innovative technology to services, various types of cyber threats which have more severe impacts, as well as change in rules and regulations which become ever more stringent.

Overall, risk management focuses on risk controls for prevention, detection, response, recovery and creation of a cyber hygiene culture. The risk controls covers four areas including governance, policies, processes and technology, and people and culture. Key processcan be summarized as follows.

- **Governance**: The Risk Oversight Committee is responsible for supervising risk management in alignment with risk management policy and strategy withinthe risk appetite.
- **Policies**: We have reviewed and revised relevant policies to be consistent with our organizational structure, our business vision, regulatory requirements, as well as capability to efficiently cope with present and future threats.
- **Processes and technology**: We have been given priority to continuous improvement of our information security management in both financial transactions and services, while also bolstering the capability to protect ourselves from advanced threats. Along with this, we have implemented data leakage preventive measures to protect our customer data.
- **People and culture**: KBank has bolstered personnel capabilities in line with our business directions, new risks and threats. We have emphasized the creation of a cyber hygiene culture which involves four personnel groups, i.e., the Board of Directors and senior management, employees, customers and suppliers of KBank, via communications in different formats to keep them abreast of cyber risks as well as provision of knowledge related to best practices In addition, the phishing drill exercises have been conducted to test how employees respond to phishing emails and fraudulent websites to ensure that they can identify phishing threats and can properly cope with them for efficient prevention.

❑ Strategic Risk Management

At KBank, strategic risk management has been integrated into the organization's strategy formulation and implementation process. The process begins with systematic data collection and analysis for use in review and determination of appropriate Bank-wide strategies, which are then translated into those for business and support units, and performance measurement, by using the Objectives and Key Results (OKRs) framework. It also involves efficient resource allocation, organization-wide communication of strategic plans, establishment of clear operational plans and monitoring processes, as well as identification of problems and solutions.

'Strategic risk management' refers to management of risks that arise from formulation and implementation of strategic and business plans that are unsuited to and inconsistent with internal factors and the external environment, which may affect earnings, capital fund or KBank's stability.

For 2020, the key factor that affected strategic risk was the domestic and global economic slowdown triggered by the COVID-19 pandemic, which inhibited economic activity across many sectors. Meanwhile, the social distancing policy to reduce viral spread served to accelerate changes in consumer behaviors and demands in the 'new normal' environment, especially the use of financial services via digital channels, which have become increasingly prevalent. Furthermore, the Bank has been exposed to operational risk incurred from compliance with government policies, including new rules and regulations and standards concerning the supervision of financial institutions, in order to provide assistance to pandemic-hit businesses.

KBank prioritizes strategic risk management in times of uncertainty. Our strategic risk management can be divided into two parts, as follows:

- **Strategic Risk Management for Strategic Content** is conducted by monitoring changes in external and internal environments which affect business operations, including anticipation of upcoming changes for better preparedness, by setting up Key Risk Indicators (KRIs) for Strategic Content to enable us to regularly monitor and review Bank-wide strategies as well as business units' strategic plans in a timely manner.
- **Strategic Risk Management for Strategy Execution** is conducted by:
  - Preparing monthly financial performance reports and biannual Balanced Scorecard (BSC) reports; we also arrange meetings regarding our strategies to address and manage specific issues, in order to achieve unified solutions.
  - Establishing KRIs for strategy execution which cover KBank infrastructure and resources.

3. Business Directions and Operations of Core Businesses

3.1 Sustainable Development and Corporate Governance

❑ Sustainable Development in Action[3]

KBank operates our business in line with the principles of a Bank of Sustainability under good corporate governance and appropriate risk management, with the aim of creating a balance in three aspects, namely economy, society and the environment, for maximum benefit of all stakeholders and in alignment with the United Nations Sustainable Development Goals (SDGs) and the Paris Agreement.

• Sustainability Management Policy and Goals

In 2020, KBank's Board of Directors reviewed the sustainable development policy and operational guidelines, and granted approval for the update of the policy in consonance with international sustainable development regulations and goals. The policy was made more concise and in line with KBank's materiality by including 10 issues instead of the previous 13 issues, as shown in the sustainable development framework and policy below.

[3] More details on sustainable development and materiality for KBank can be found in the Sustainability Report 2020.



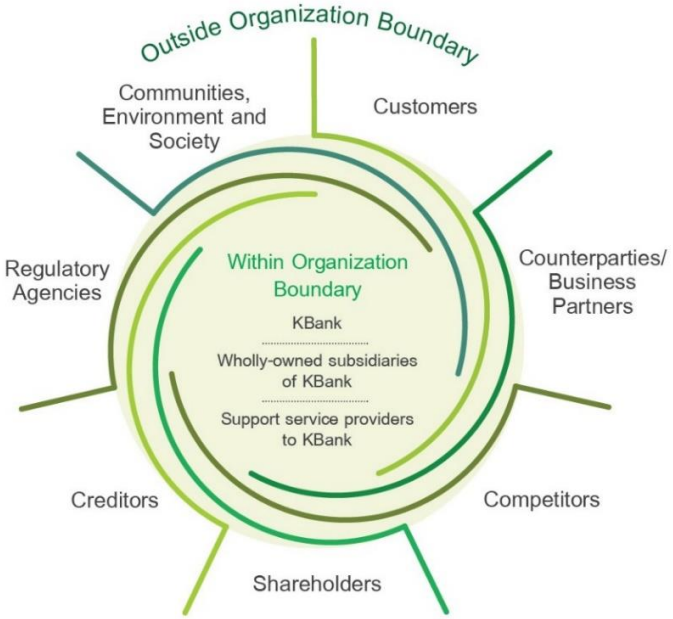
• **Management of Impacts on Stakeholders within Business Value Chain**

KBank has disclosed data on management and value creation from six types of capital, i.e., financial capital, manufactured capital, intellectual capital, human capital, social and relationship capital, and natural capital. Materiality and capital that influences assessment of impacts on KBank's ability to create value over the short, medium and long term are identified to shed light on financially material topics. KBank has focused on capital management that is in line with our operational framework and the policy of sustainable development

and K-Strategy to ensure that we can achieve the highest performance efficiency in alignment with our vision and business directions.

At the same time, KBank recognizes the importance of bringing about sustainable value creation for all stakeholders. In so doing, KBank upgraded the disclosure of ESG information in line with guidelines of the Office of the Securities and Exchange Commission, and the Stock Exchange of Thailand, while also managing any impact that may affect stakeholders within the business value chain – from upstream to downstream – by creating value for products and services to meet stakeholders' expectations as well as in conformity with international guidelines and practices.

Additionally, KBank assessed the positive and negative impacts of business activities on stakeholders, both internal and external. We also conducted surveys of stakeholders that had an influence on KBank businesses through questionnaires, in-person discussions and discussions via related organization. By such means, we can identify stakeholders within the business value chain including shareholders, boards of directors, employees, customers, suppliers/business partners, competitors, creditors, supervisory agencies, communities, the environment and society.



- **Sustainability Management in the Environmental Aspect**

In 2020, having considered key strategic directions to meet the Global Goals, KBank reviewed our sustainable development operation framework and policy to establish goals and commitments to environmental operations. In addition, KBank became a signatory to the Principles for Responsible Banking (PRB) of the United Nations Environment Programme Finance Initiative (UNEP FI), as well as a supporter of the Task Force on Climate-related Financial Disclosures (TCFD). KBank also established the environmental strategy to be used

as a guideline for our environmental operations, as we recognize that our business operations, including lending, investment and customer engagement, play an important role in the reduction of and adjustment towards climate change, as well as helping us achieve success in maintaining the increase in global average temperature below 2 degrees Celsius in accordance with the COP 21 Paris Agreement and the Goal 13: Climate Action.

Moreover, KBank undertook a number of operations to support and promote the mitigation of and adjustment to climate change, as follows:

1. Promoting the K PLUS – a mobile banking application to reduce fuel consumption in transport, plus the use of paper in financial transactions, which will in turn help cut the consumption of energy and other resources. Consequently, waste disposal, forests and land use can be managed in a sustainable manner, thus helping reduce greenhouse gas emissions.
2. Offering financial support in the forms of lending and investment to businesses that promote the use of renewable energy, plus energy and environmental conservation.
3. Conducting a study on tools to measure and manage climate change impacts that are related to lending decisions.
4. Joining the working team of the Bank of Thailand and Thai Bankers' Association in establishing the definition of 'green finance' and projects or activities that are categorized as the 'green finance'.
5. Ensuring that KBank's operations contribute to the reduction of greenhouse gas emissions.
6. Collaborating with business partners in providing training and advice in order to reduce the impacts of climate change.

- **Sustainability Management in the Social Aspect**

KBank has carried out business operations by considering our duties and responsibilities for the country, with the aim of creating positive change for society, which is the beneficiary of our public service activities. In 2020, KBank's key initiatives were as follows:

1. Reviewing the Human Rights Policy annually.
2. Conducting a human rights risk assessment in accordance with the UN Guiding Principles on Business and Human Rights (UNGP) and considering human rights issues, based on the Universal Declaration of Human Rights, International Covenant on Civil and Political Rights (ICCPR) and International Covenant on Economic, Social and Cultural Rights (ICESCR).
3. Providing financial support in the forms of lending and investment to allow improved and secure access for the general public. To this end, KBank has offered products and services to both retail and business customers as well as relief measures for clients affected by COVID-19.

4. Organizing training that offered various customer segments, namely retail clients, SMEs and startups, knowledge on topics covering finance, blockchain technology, economy and industry so that they had necessary business management skills to cope with COVID-19.
5. Determining strategic focus for human resource management in alignment with K-Strategy and K-Culture, covering employee recruitment, fair treatment of employees, respect for diversity, compensation management, employee benefits, employee development, career advancement, health and well-being of employees, and especially human resource management during the COVID-19 pandemic. Social activities have been undertaken under KBank's Corporate Citizenship Strategy, 2019-2023, with the ultimate goal of advancing society. KBank has applied the social activity framework based on the London Benchmarking Group (LBG) as the implementation guidelines in order to evaluate the results of such activities and their impact on stakeholders more tangibly.
6. Carrying out social and public service activities, including financial support, emergency assistance, volunteer activity under the "Make Every Day the Day of Doing Good Deeds" project, Nan Cultivation of Wisdom project, AFTERKLASS project, a project to add value to organic waste via biosynthesis process, Nan Sandbox project, in-house campaigns in which staff gave cash and in-kind donations to various charitable organizations, and assistance to communities and society during the COVID-19 pandemic under the Special Stipend for Front-line Medical Personnel program.

- Corporate Governance

KBank is determined to operate our business in line with good corporate governance, which is essential for sustainable business operations. We prioritize corporate governance practices which encompass transparency, accountability and business ethics, taking all stakeholders into account. In 2020, our major CG operations included reviews of corporate governance policy and practical guidelines for enhanced efficiency, and an upgrade in corporate governance standards in conformity with the CG Code of 2017 of the Office of the Securities and Exchange Commission, Corporate Governance Report of Thai Listed Companies (CGR) of the Thai Institute of Directors (IOD), ASEAN Corporate Governance Scorecard and Dow Jones Sustainability Indices (DJSI).

Meanwhile, KBank focused on performance of duties and professional practices of executives and employees. We therefore assembled a plan for communication of the Code of Conduct and examples of compliance throughout last year via the electronic network system, together with evaluation of knowledge and understanding of the principles and guidelines of the KASIKORNBANK Code of Conduct among executives and employees at all levels. In addition, a number of activities were undertaken in order to put the policy into practice. They included arrangement of lectures, communications and training for directors, executives and employees of KBank and other companies within KASIKORNBANK FINANCIAL CONGLOMERATE on various

topics including the Statement of Corporate Governance Principles, the Code of Conduct, and the Anti-Corruption Policy, as well as risk management and fraud prevention, internal control, and compliance with rules and regulatory requirements, namely the Personal Data Protection Act (PDPA) B.E. 2562 (2019) and prevention of insider trading. We also communicated Supplier Code of Conduct as practical guidelines to our suppliers for their acknowledgement.

3.2 Business Directions of KASIKORNBANK and the Wholly-owned Subsidiaries of KASIKORNBANK in 2020 and Outlook for the Next Five Years

KASIKORNBANK has established business directions in line with the principles of a Bank of Sustainability, accounting for the balance of three dimensions – economy, society and the environment – under good corporate governance, as well as appropriate risk and cost management. Guided by the Customer Centricity strategy and the resolve of delivering an excellent customer experience in order to empower every customer's life and business, we prioritize the offering of total solutions and inclusive services anytime, anywhere, responsive to the needs of customers and society as a trustworthy service provider under the single brand of KASIKORNBANK. Our endeavors are achieved through collaboration and synergy with other companies within KASIKORNBANK FINANCIAL CONGLOMERATE, startup firms and our business partners.

KBank emphasized data analytics for predictive integrated risk management (IRM) through the establishment of comprehensive risk management principles and policies, efficient capital management and a risk-aware culture Bank-wide. These operations were undertaken with consideration of preparedness to accommodate policy guidelines and measures of the Bank of Thailand and other regulatory agencies, ensuring strict compliance with the standards under sound financial standing.

In alignment with the above strategy, KBank prioritizes total solutions in order to fully meet the needs of all customer segments and strengthen our competitiveness over the long term for sustainable growth. Our endeavors for each business are as follows:

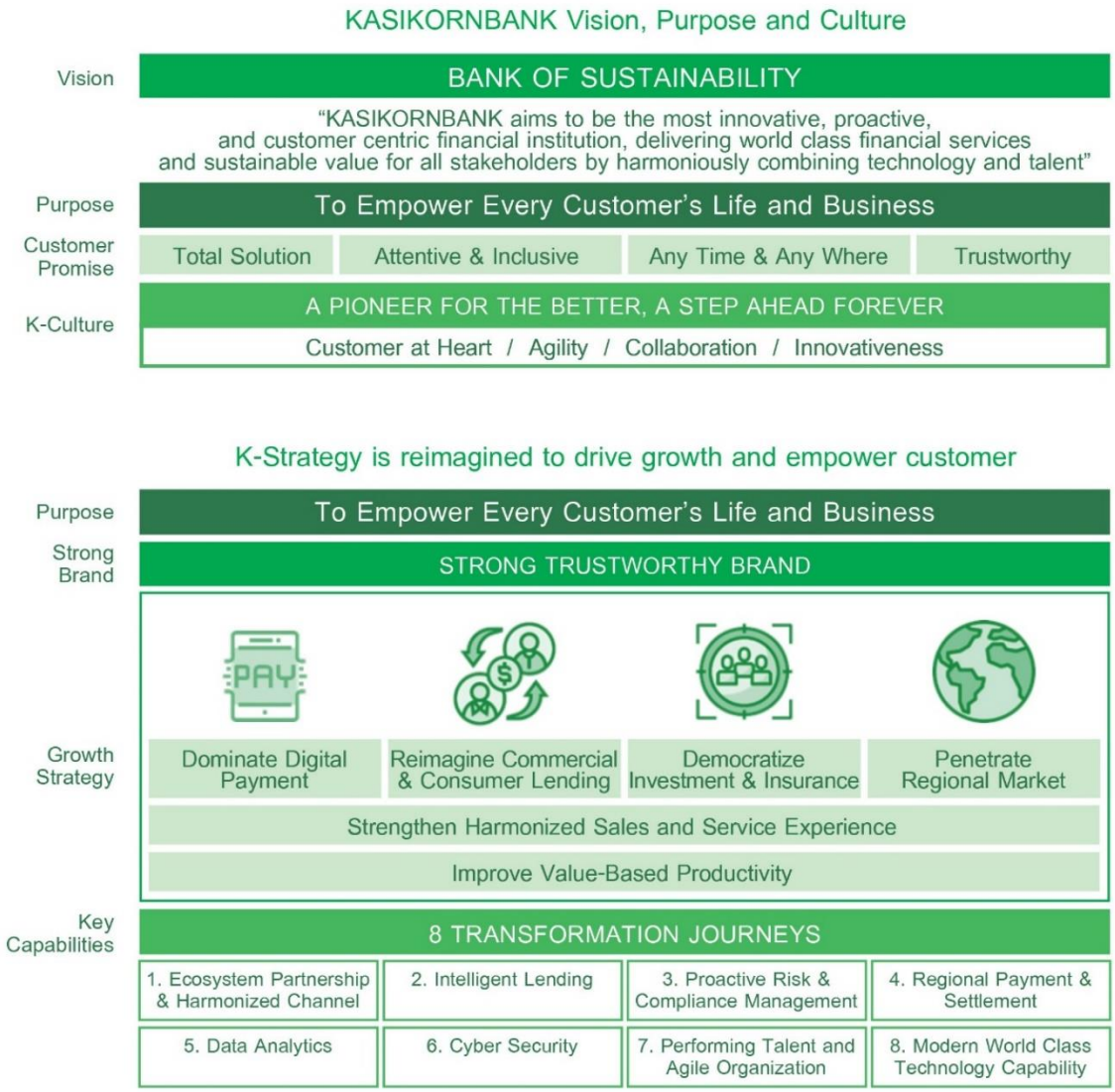
(1) Retail Business: KBank has focused on data analytics in order to develop products, services and service channels that can meet each individual customer's needs. We placed emphasis on the seamless integration of physical branches and digital channels for the best customer experience. Along with this, we have created an ecosystem through collaboration with our partners in various businesses to develop multiple products that accommodate every aspect of their lives. We aim to increasingly extend loans to retail customers via channels of KBank and partners, and promote saving and investment to the general public at large, while also improving private banking service quality for High Net Worth Individuals through the offering of advice, products and services at international standards.

(2) SME Business: KBank aspires to become a Total Solution Provider for our SME customers through solid teamwork among our Relationship Managers, who are well-versed in KBank products, and branch officers who have in-depth understanding of our customers' businesses and their needs. Along with this, we have

deployed innovative digital technologies and data analytics to support our customers' business operations in all aspects through financial and knowledge-based assistance and business networking, while prudently expanding our customer base with emphasis given to asset quality management to ensure the sustainable business growth of both our customers and KBank.

(3) Corporate Business: KBank is determined to meet all of our corporate customers' business needs, especially through funding support to ensure their cost effectiveness under appropriate risk management. Along with this, we have given staunch support to their transactions via all formats of electronic channels, while focusing on the offering of products and services responsive to all parties, including customers, suppliers, business owners and employees throughout the ecosystem, for increased competitiveness and effective business management in a comprehensive manner. These efforts are aimed at maintaining our status as customers' Main Operating Bank.

Gearing up for being a Regional Digital Bank, KBank has expanded our conventional and digital banking businesses in order to provide financial services for the purpose of saving and investment, borrowing, transactions and risk prevention. Meanwhile, we act as a digital platform provider for both financial and non-financial services in order to meet customers' needs beyond the banking realm, in a bid to broaden our customer base in regional markets.



KBank's strategic imperatives are as follows:

1. **Development of strategies for business growth and customer responsiveness**
   - Dominate Digital Payment in order to embed in select financially relevant ecosystems to serve customers wherever and whenever they need. We focus on data analytics in order to offer products and services appropriate for customers. To this end, K PLUS has been upgraded to be a digital platform to accommodate payment of any form and channel with the aim of embedding in customers' ecosystems. We have developed payment innovations both domestically and internationally to allow customers to keep track of financial data, business transaction data and product delivery to strengthen their confidence and support their business operations.

- Reimagine commercial and consumer lending to meet customers' lifestyle and business needs while also increasing income for KBank with acceptable risk appetite. We have used data and digital channels to gain access to retail borrowers and considered risk-based pricing. Along with this, we have conducted analytics based on transaction data obtained from our suppliers within value chains in order to acquire customers with debt servicing ability who are interested in borrowing.
- Democratize investment and insurance, focusing on retail customers and previously inaccessible groups through introduction of our Relationship Managers. We focus on products of KBank and other companies within KASIKORNBANK FINANCIAL CONGLOMERATE, including services provided by our business partners. Investment platforms have been developed to facilitate our customers in making informed decisions based on a cost-effective approach.
- Penetrate regional market in order to increase opportunity to access customers in other AEC+3 countries with brighter growth prospects in terms of population and economy
- Strengthen Harmonized sales and service experience by integrating all service channels to allow our customers to conduct transactions anytime, anywhere. Our sales and service formats are suited to demands of customers at different levels.
- Improve value-based productivity by optimizing human resources, data, financial and technological capabilities.

2. **Create a strong, trusted band** via communication and management of experience gained by all related parties from doing business with KBank.
3. **Enhance competitiveness over the long term** through the eight transformation journeys as follows:
   - Ecosystem Partnership and Harmonized Channel: Orchestrating ecosystems with partners and providing excellent experiences throughout customer journeys
   - Intelligent Lending: Leveraging customer data to offer a personalized lending experience and achieve fair, risk-adjusted returns
   - Proactive Risk and Compliance Management: Proactively identifying potential risks and establishing loss prevention and detection
   - Regional Payment and Settlement
   - Data Analytics: Expanding data analytics capability to enhance business opportunities and operational efficiency
   - Cyber Security
   - Performing Talent and Agile Organization: Developing employee potential in the drive towards an agile organization
   - Modern World Class Technology Capability: Adopting modern, world-class technology to make KBank the top regional financial service provider

3.3 Customer Segments and Services

In 2020, KBank and K Companies continued to prioritize the Customer Centricity strategy. We monitored the impacts of the COVID-19 pandemic, which has triggered a Thai and global economic downturn and led to changes in consumer behavior and demand in the 'new normal' environment. The pandemic has also served as a catalyst for technological development. We have thus focused on providing assistance, either directly or indirectly, to all groups of our customers reeling from the viral transmission. We intend to empower every customer's life and business via total solutions, providing attentive and inclusive services that are responsive to the demands of both customers and society anywhere, anytime, as a trustworthy service provider. Our endeavors are achieved through collaboration and synergy with other companies within KASIKORNBANK FINANCIAL CONGLOMERATE, startup firms and our business partners, in the dimensions of customer segments, products and service channels.

■ Retail Business

KBank prioritizes the development of products and services to meet each individual customer's needs in the three following segments.

High Net Worth Individual: 2020 was a challenging year for investors. The investment market in Thailand and elsewhere was mired in uncertainties triggered by the COVID-19 pandemic. KBank thus focused on encouraging our customers to adjust their investment formats to suit the ever-changing circumstances, adopting a '3S' investment strategy as summarized below:

(1) Sustainability: We prioritized sustainability as a key theme in delivering products, advice and services to our customers. One notable initiative was the launch of funds focusing on 'positive investment' in order to generate attractive and sustainable returns in alignment with the global trend towards sustainability. They included K Positive Change Equity Fund (K-CHANGE), K Global High Impact Thematic Equity Fund (K-HIT), and K Climate Transition (K-CLIMATE). As part of our drive to promote sustainable practices, KBank hosted a seminar titled, "Sustainability Revolution: A Call for Action", in which former US Vice President Al Gore, a world-renowned environmental activist, was invited to share his knowledge and insights with participants. In addition, we focused on communicating sustainability investment to our customers via private bankers and social media.

(2) Sharing: KBank embraces the concept of promoting growth at the individual, business and societal levels. To help resolve issues in the operations of domestic charities, particularly in terms of management and access to donors, KBank volunteered to act as an intermediary in establishing links between donors and recipients. To this end, we organized fundraising activities in various forms. The highlight of the past year was "Perfect Wealth Perfect Night", which helped to raise awareness on the importance of sharing in society.

(3) S-Curve: Searching for new challenges to increase the chance of future returns: KBank introduced New Economy funds, namely K Global High Impact Thematic Equity Fund (K-HIT) and ONE Ultimate Global Growth Fund (ONEUGG). Our non-capital market solution team is always on hand to offer customers support in other areas to ensure that they never miss any investment opportunities.

Affluent: KBank aims to deliver a superior experience to our customers through THE WISDOM brand to ensure the optimum customer satisfaction in meeting their personal finance, business and lifestyle needs at every stage of their lives and thus maintain our leadership status in this segment. In 2020, KBank focused on Big Data analytics, in-depth interviews and research to shed light on customer demand in order to improve our products and services. To this end, we initiated THE WISDOM Privilege Platform to allow our customers to book multiple privileges, namely health check, use of fitness facilities, and car wash including privilege inquiry, anywhere, anytime.

To promote savings and investment, we focused on offering special fixed-term deposit products. Along with this, KBank worked with KASIKORN ASSET MANAGEMENT Co., Ltd. to provide customers advice on diversified portfolio management, allowing them to invest in multiple assets across the globe for risk diversification. Our clients were also recommended to invest in balanced funds to enhance opportunities to gain attractive potential returns over the long term amid global market volatility. Notable funds were K Global Income Fund (K-GINCOME) that focused on global investment and K-FIT with a policy of rebalanced portfolio. We also launched Wealth PLUS on K PLUS – a robo-advisor to help customers manage their portfolios. To meet the varied needs of investors, we introduced funds for working-age customers seeking long-term savings with tax-saving benefits, namely K Global Income Fund-SSF (K-GINCOME-SSF) and K Positive Change Equity Fund-SSF (K-CHANGE-SSF). Along with this, funds for retirement were also launched, including K USA Equity RMF (KUSARMF), K China Equity RMF (KCHINARMF) and K Positive Change Equity RMF (KCHANGERMF).

Middle Income and Mass: KBank focused on developing products and services that are suited to every aspect of customers' lives by conducting studies and analyses on customer behavior based on our database to shed light on their financial and lifestyle needs. Along with this, we prioritized a positive customer experience through the use of services via various channels including branches, digital channels, and our partners' platforms. These efforts are intended to provide customer engagement with the aim of making KBank their Main Operating Bank. Notable initiatives included:

In 2020, KBank formulated policies to continuously aid our customers reeling from the COVID-19 pandemic, natural disasters and related economic woes through principal payment suspension, lowered interest rate, reduction of monthly installment payment or minimum installment payment. We also issued assistance measures for retail clients (Phase 2) under the "Stronger Together" program which featured an automatic interest rate reduction and debt restructuring for retail customers through debt consolidation. Furthermore, KBank offered free COVID-19 coverage in case of critical illness or death from COVID-19 to

K PLUS users who have registered for the service, along with giving them an option for purchase of additional COVID-19 insurance.

In regard to saving and investment, KBank unveiled a banking service on the LINE platform – the first of its kind – under the name of KASIKORN LINE Co., Ltd., which was jointly established with LINE Corporation (Thailand) Limited. This service is used for opening a LINE BK deposit account and LINE BK deposit account with special interest rates, and offers three types of debit cards, namely (1) LINE BK Online Debit Card – a virtual card for spending online; (2) LINE BK Debit Card; and (3) LINE BK Debit Card with Credit Line – a card which offers cash back when customers make online purchases. This innovative platform also serves as a convenient channel for conducting financial transactions such as funds transfer via LINE chat, and sending a money request instruction to friends in a LINE chat, with LINE notifications to monitor account movement.

Additionally, KBank encouraged customers to open K-eSavings Account via K PLUS and KBank x BLACKPINK Taweesup Special Fixed Deposit Account along with signing up for KBank x BLACKPINK Debit Card (Black Edition). Customers aged 12 or older can open their own savings accounts and conduct financial transactions by themselves via K PLUS, in order to expand the young generation customer base. Moreover, KBank joined a test for the online cross-bank identity verification for opening bank accounts via National Digital ID (NDID) under the Bank of Thailand's Regulatory Sandbox program. At the same time, regarding the insurance business we launched "Motor 2+ Care" – an affordable car insurance that provides a car for temporary use while the customer's car undergoes repair, and health insurance products including "Cancer Protection", "Dengue Hemorrhagic Fever Insurance" and "Delight Health", a life and health insurance plan with high coverage.

For lending in 2020, KBank continued to extend new loans despite the troubled economy. To this end, we promoted home loans by launching a campaign that offered special interest rates to homebuyers of projects that received pre-finance assistance from KBank, while also promoting new home loans and home loan refinance. We also held marketing activities with local developers and set up booths during Money Expos in major cities. Another notable endeavor was the improvement of the chatbot program for home loan via LINE@KBankLive and Facebook Messenger to provide greater customer convenience and a better user experience.

Regarding the expansion of credit card loan, we debuted the KBank-Shopee Credit Card aimed at expanding the cardholder base among shoppers preferring the Shopee platform. In parallel, we launched marketing promotions aimed at acquiring new customers for all types of K-Credit Card across all spending categories in line with the diverse lifestyles of customers and promotional campaigns focusing on online trade of merchants affected by branch closure due to the COVID-19 pandemic. KBank also employed marketing communications via digital channels to create customer engagement amid a highly competitive market condition. Another notable effort included the rebranding of KBank Reward Points as "K Points" wherein points are easier to collect, and there are a wider range of options for point redemption such as earning more points by completing "missions" and transferring points to the loyalty programs of our partners. Furthermore, we

introduced new services on K PLUS that allow the use of K Points instead of cash for bill payment, top-up and loan repayment to KBank.

For personal loan, KBank added the Add Card (Auto List Card) feature on K PLUS that allows customers to add Xpress Card on K PLUS without requiring the card number and conduct cardless withdrawal. We also offered the XPC Smart Cash service which allows withdrawal from an Xpress Cash credit line for immediate transfer into a savings account. Along with this, customers can use Xpress Cash for the purchase of goods and to make interest-free installment payments for up to 36 months. Along with this, we arranged a promotion to offer zero-interest rates for 30 days for customers applying for Xpress Cash, with loan approved within 2020. We also joined with our partners including department stores, mobile service providers and gold shops to promote greater spending via Xpress Cash. At the same time, a special program was launched to screen customers with good credit history for the offering of Xpress Loan. Another notable effort was the development of a channel for searching personal loan data on mobile phone and applying for loan via KBank's website on mobile phone.

- SME Business

In 2020, KBank introduced a digital lending service via the LINE BK platform to increase opportunities for online merchants to get loan approval. The service also provides greater convenience for online traders in conducting social commerce wherein customers interact with sellers via chat and make prompt funds transfer. The initiative serves as another channel for KBank to expand its new SME customer base. Meanwhile, KBank focused on asset quality management, especially for existing SME customers connected with the battered tourism sector. These clients were granted year-round assistance through measures implemented by KBank and under the government's support. They included suspension of principal and interest payment for six months, liquidity enhancement through the soft loan scheme of the Bank of Thailand and Government Savings Bank, and a loan guarantee program of the Thai Credit Guarantee Corporation (TCG) as well as a debt restructuring program. KBank also continually gave support to a special program to maintain employment under the "Generous (Business) Owners – Empathetic Creditor" program which offered interest rate reductions to business operators, putting them in a better position to pay their workers' salaries. Another notable endeavor was the "Zero Interest-rate Loan to Retain SME Staff" program that helped reduce the burden on business operators with 10-year interest-free loan. Moreover, we offered a property insurance product under the "SMEs be Wealth-Platinum Insurance" program that provided coverage against fire, natural disaster and theft at affordable premiums, with easy application via branch and no risk survey required.

With regard to card accepting merchants, KBank enhanced the K-Merchant system to accommodate the use of Xpress Cash for installment payment of up to 36 months and full payment through UnionPay network via Electronic Data Capture (EDC) and websites of card accepting merchants. We also provided support and promoted e-Payment for merchants with physical stores and those online stores on K PLUS Shop using QR API that accommodates payment with Thai QR Payment and QR code of Visa, Mastercard and UnionPay card

including Alipay and WeChat Pay e-wallets as well as mPOS (Mobile Point of Sale) under the Payment Card Industry Software-based PIN Entry on COTS (PCI SPoC) – a world-class security standard.

We have also promoted spending via e-wallet developed by KBank for our business partners. These efforts included Blue CONNECT – an e-wallet used for payment for goods and services at PTT stores, and GrabPay – a platform for top-up and payment of service charges on the Grab application. This initiative allows strengthened linkages to channels of our business partners across various ecosystems for broader coverage in the future. In addition, KBank continued to promote e-Donation service and the QR Donation on K PLUS at donation receiving units of temples and hospitals.

- **Corporate Business**

In 2020, certain groups of corporate customers were affected by an economic slump precipitated by COVID-19 and drought. Most of them had to quickly adjust themselves to brace for the risks. Initially, KBank focused on providing assistance to customers in the form of sufficient liquidityto help them stay afloat as their business operations came to a halt after the implementation of lockdown measures. Even as the situation seemed to ease, we continued to aid those crisis-hit customers to ensure smooth business recovery. We offered them assistance under the Bank of Thailand's guidelines while also launching our own relief measures, including suspension of interest payment and relaxed loan repayment conditions to accommodate borrowers' debt servicing ability amid the crisis.

For customers with business potential, KBank focused on total solutions to comprehensively meet their business needs. To this end, we provided them support through advice on funding sources both within Thailand and in other countries via multiple channels as appropriate. Of note were long-term loans and revolving credit facilities, including advice and guidance for prevention of risks from foreign exchange volatility as well as provision of updated news on foreign exchange movements. Regarding financial transactions, KBank encouraged our customers to use electronic channels to save on operating costs. One notable endeavor was the introduction of K CONNECT-LG, which features issuance of letter of guarantee via electronic channel, and K-Cash Connect Plus, which serves as a new channel for tax payment to the Revenue Department with no fee charged throughout 2020. In response to the government's National e-Payment Master Plan, KBank's system has been developed to accommodate e-Tax Invoice and e-Receipt, which ensures greater convenience in data preparation and submission to the Revenue Department. The service allows customers to conduct transactions swiftly and save on commuting expenses while also reducing branch traffic.

Meanwhile, we have expanded the offering of products and services to our customers' trade partners and employees in order to enhance the competitiveness and business management efficiency of our clients while also maintaining KBank's status as their Main Operating Bank. We have encouraged our clients to acquire business partners in the form of B2B (Business to Business) through the introduction of K-Value Chain Solutions.

For the B2C (Business to Customer) segment, KBank has upgraded payment-accepting solutions via multiple channels such as e-wallet to help our customers increase their sales turnover, ensuring sustainable growth.

3.4 Service Channels

In 2020, KBank focused on providing seamless online and offline services of both KBank and our business partners to ensure a positive customer experience anywhere, anytime, while accommodating changing service behavior under the 'new normal' environment. We have orchestrated ecosystems with partners while also developing our core service channels for enhanced efficiency in accessing customers in order to deliver them excellent services with the greatest cost effectiveness.

1. **Branch network:** Key initiatives for branch network management in 2020 included:

- **Domestic branch network:** We focused on providing channels in harmony with customers' daily needs, as evidenced by the increased use of financial services via multiple channels anytime, anywhere. With the aim of delivering a positive customer experience, KBank has employed "big data" for linkage of all service channels including physical and electronic branches, services outside of branches via sales officers and Relationship Managers, the K-Contact Center, KBank agents as well as service channels of our business partners.

In 2020, we focused on adjusting branch models in each area and elevating service experience to be aligned with customers' needs. To this end, KBank continued to improve branch service procedures along with consolidating branches to reduce redundancy, especially those with relatively low traffic. Meanwhile, we increased the number of branches that deliver a new customer experience through the use of self-service electronic machines including 15 hybrid branches, five K PARK locations as well as three mini-branches (this branch format shares the space of our business partners to provide customers basic services).

Along with the continual expansion of KBank Service locations, we focus on offering services via mobile banking to match customers' lifestyles, including deposit/withdrawal, bill payment and identity verification for opening of electronic accounts for retail customers to provide an enhanced customer experience, allowing those in remote areas improved access to financial services nationwide. KBank has forged collaboration with new business partners including AIS, DTAC, Kerry, Srisawad, Siam Global House, aside from Thailand Post, Big C, 7-Eleven and other major partners, with different scopes of services available at each banking agent.

As the local transmission of COVID-19 seemed to ebb early in the last quarter of 2020, KBank resumed foreign exchange services on a trial basis at branches in the Bangkok Metropolitan Region as well as six Foreign Exchange Booths in Suvarnabhumi Airport and Don Mueang International Airport. In parallel, we continue to focus on services via electronic channels, especially automated currency exchange machines that are available 24 hours a day and YouTrip e-Wallet through the launch of marketing campaigns to promote online purchase of goods and services in foreign currencies. Meanwhile, KBank has installed automated currency exchange machines in areas with potential on a trial basis, replacing in-person services. We have

also opened foreign currency booking service via KBank's website, allowing customers to feel confident before using foreign exchange services at branches. However, the COVID-19 resurgence at the end of December 2020 has prompted KBank to be on alert and adjust our strategies to suit the changing circumstances at all times.

- **International Branch Network**: We have adhered to our strategy of becoming a Regional Digital Bank through the Three-Track Regional Digital Expansion. In detail:

- **Conventional Expansion**: We have expanded our business network and services within the AEC+3 region in response to Thai customers seeking to venture into other ASEAN countries. In 2020, KBank continually expanded our business and services in the People's Republic of China, Lao People's Democratic Republic, and Kingdom of Cambodia. In accordance with our plan, we are preparing to upgrade our representative office in Ho Chi Minh City, the Socialist Republic of Vietnam, to the status of an international branch, while also increasing our shares held in a local bank in the Republic of Indonesia. We also established a plan to invest in a local bank in the Republic of the Union of Myanmar, which is expected to be completed within 2021.
- **Digital Expansion**: KBank prioritized development of regional electronic payment systems, allowing us to build a database of customers' financial transactions within the region, which can be further applied in our loan services and investment. One notable initiative was the launch of QR KBank – an e-wallet application that can be used for top-up, funds transfer and QR payment, available in Lao People's Democratic Republic. In addition, "Borderless Payments for All" was introduced to provide greater convenience to customers of all segments in the region wanting to make international funds transfer and payment – especially low-value transactions – at reduced fees. Meanwhile, KBank has established KASIKORN Vision Information Technology Co., Ltd. (KTECH) in the People's Republic of China. Its main tasks involve research, testing and development of IT systems, searching for new business models conducive to digital banking services and digital economic systems, as well as adopting innovative technology that will be further applied to KBank businesses and other companies within KASIKORN FINANCIAL CONGLOMERATE.
- **Industry Solutions and Ecosystem Expansion, especially in target countries within CCLMVI**: We have sought opportunities to foster collaboration with new tech partners to provide Thai and local businesses improved access to financial services. In 2020, KBank teamed with an e-commerce partner in the Socialist Republic of Vietnam and payment business partner in the Republic of Indonesia to implement pilot projects. One notable endeavor was data-driven lending for operators conducting their business on e-commerce platforms.

*CCLMVI means People's Republic of China, Kingdom of Cambodia, Lao People's Democratic Republic, Republic of the Union of Myanmar, Socialist Republic of Vietnam, and Republic of Indonesia.

Branches and Financial Service Network

Domestic	Number of Locations		International	Number of Locations	
	2020	2019		2020	2019
Branch Network [1]	860	886	Branches of Locally Incorporated Institutions	6	6
Foreign Exchange Booth	75	137	KASIKORNTHAI BANK LIMITED (Lao PDR)	2	2
THE WISDOM	94	97	KASIKORNBANK (CHINA) CO., LTD.	4	4
SME Business Center [2]	167	134	Branches	3	3
International Trade Service Center	58	58	Representative Offices	7	7
Cheque Direct Service	21	21			

Note: [1] Excluding 6 branches, classified as other branch platforms per the Bank of Thailand's conditions

[2] More than one SME Business Center may be located in a single branch.

2. Electronic Network:

- **K-ATMs and K-CDMs**: Management of electronic machines has been a major focus to ensure that the available number is sufficient and can meet customer demand in each area nationwide. To reduce redundancy, we have relocated self-service machines from the areas where there are already a large number of machines available, to areas with greater potential, particularly to accommodate the rising demand for cardless withdrawal. Along with this, we have expanded the K Check ID that offers identity verification service for opening an electronic account to ensure broader coverage nationwide. KBank also worked with Government Savings Bank in offering no-fee services via shared ATM terminals under the white-label ATM project. Moreover, emphasis has been placed on development of KBank's electronic network to accommodate 'round-the-clock financial services, especially through self-service machines that offer prompts in multiple languages for the greater convenience of our foreign clients, in replacement of branch services. We also prioritized improvement of the machine maintenance system for enhanced service efficiency.

Electronic Banking Services

Electronic Banking Services	Number of Units	
	2020	2019
Self-Service Channel (K-ATM and K-CDM)	10,981	10,973
K-ATM (Automated Teller Machines)	8,389	8,168
K-CDM (Cash Deposit Machines)	2,592	2,805
K-PUM (Passbook Update Machines)	1,004	1,028
Automated Currency Exchange Machines	9	5

- **Digital Banking Services**: KBank maintained its leadership in digital banking services, with focus on development of the digital banking system for greater ease of use, enhanced customer convenience and service coverage for all customer segments through increased linkage of other service channels including those of our business partners across all ecosystems – for increased service efficiency in order to accommodate changing lifestyles. Major initiatives in 2020 included:

1) **K PLUS**: We have focused on enhancing financial transaction features for our customers' everyday use in order to give them an excellent experience 24 hours a day, with new services available as follows:
   - **Smart Pay and Smart Cash for K-Credit Card and Xpress Cash**: This service helps to ease customers' financial burden by allowing them to make cash withdrawals for emergencies. Customers can make the transactions by themselves, without the need to contact the K-Contact Center.
   - **Cardless withdrawal for K-Credit Card and Xpress Cash**: This service provides K PLUS customers greater convenience in making cash withdrawals at K-ATMs. Customers can withdraw the outstanding balance on their K-Credit Card or Xpress Cash without requiring the physical card.
   - **KBank Loan Payment**: This service expands the channels for paying various types of KBank loans on KPLUS, 24 hours a day. Customers can check their transactions and payment history, or request a receipt and home loan tax certificate, via K PLUS.
   - **Top-up and Bill Payment (Switch App) via application of KBank partners**: This service connects to the K PLUS platform, allowing customers to top-up and make fast payment via the applications of KBank partners with no need to switch between applications or enter the card number. New KBank partners in 2020 include Airpay, Shopee and True Money Wallet.
   - **Collection and payment service via LINE through KhunThong and "Share to K PLUS"**: This service provide greater convenience in collecting payment and making funds transfer/payment via LINE using KPLUS, with no need to switch between applications or enter the card number, access the menu page or enter card numbers. The service is available via the KhunThong social chatbot and the 'Share to K PLUS' QR Code.
   - **Automatic portfolio management via Wealth PLUS**: This service recommends investments to customers by selecting the appropriate targets and monitoring investment results easily on K PLUS.
2) **K-Cyber**: We focused on maintaining the integrity of the K-Cyber system. Data security is ensured through implementation of ISO 27001:2013, giving our customers more confidence when conducting financial transactions via all digital banking channels.
3) **K-Payment Gateway**: This service channel has been continually enhanced for increased efficiency in conformity with the Payment Card Industry Data Security Standard (PCI-DSS), with the aim of fully meeting the needs of online stores of all business types regardless of their manner of connectivity. Focus has also been on increased efficiency to accommodate the increasing volume of online payment transactions amid the prevailing changes in consumer behavior under the 'New Normal' environment, including websites, e-commerce platforms, online marketplaces and food delivery platforms.

4) **KBank Live**: This service provides a channel of communication with customers via applications that include Facebook, Twitter, Instagram, YouTube and LINE. Through KBank Live, KBank presented products, services, promotions and financial knowledge as well as news throughout 2020 such as registration for COVID-19 insurance plan, registration for assistance measures available to our loan customers and under the "Stronger Together" program, data presentation to encourage Thai people to "share", appointment for account opening at branch, warning of SMS scam, suggestions on usage of K PLUS and advertisements of new products and services as well as other promotions.

- **K-Contact Center**: In order to deliver a beyond-expectation customer experience and thus be the most top-of-mind bank, KBank has elevated our services to ensure total solutions as a Customer Fulfillment Center with the aim of becoming a Customer Engagement Center and a Customers' Life Platform of Choice, thus meeting both lifestyle and business needs via the following initiatives:

1) Development of Non-Voice Channel & Self-Service: The chatbot program has been developed to expand the scope of providing specific information about KBank products and services in real time, thus leading to enhanced service efficiency as a channel that offers fast and convenient transactions, with a security system based upon identity authentication.
2) Development of Knowledge Management Smart Agent Portal: This noteworthy effort is aimed at bolstering KBank Contact Center capabilities for enhanced service efficiency.
3) Development of Case & Incident Management: In cooperation with the Thai Bankers' Association, we have implemented the Banking Industry-Wide Customer Incident Management Standard to ensure efficient problem-solving. Guidelines for effective communication with customers have been put in place in order to maintain the public image of the banking industry.

3.5 Awards and Commendation

KBank and K Companies have achieved good business performance, earning the recognition of various organizations at home and abroad, proven by many awards granted during 2020, notably:

Awards to KBank and K Companies

Awards to KBank

- Selected for inclusion in **Dow Jones Sustainability Indices (DJSI)** - both the DJSI World and DJSI Emerging Markets indices for the fifth consecutive year from S&P Dow Jones Indices
- Selected for inclusion in **FTSE4Good Emerging Index** in the Environment, Social and Governance (ESG) category from FTSE and Russel for the fifth year running
- Assigned an "AA" rating from MSCI ESG Rating, which is considered a mark of leadership in ESG operations among banks in emerging markets
- Included as a member of the 2021 Bloomberg Gender-Equality Index (GEI)
- Earn a B score (Management Level) from the Carbon Disclosure Project (CDP) in 2020
- **ASEAN Asset Class Publicly Listed Companies** from ASEAN Capital Markets Forum (ACMF) and Asian Development Bank (ADB)
- Rated **"Excellence"**, based on the Corporate Governance Report of Thai Listed Companies by Thai Institute of Directors Association (IOD)
- Selected to be on the **Thailand Sustainability Investment (THSI)** list by the Stock Exchange of Thailand for five years
- **Thailand's Top Corporate Brands 2020 in the banking business category** from Faculty of Commerce and Accountancy, Chulalongkorn University for the fourth consecutive year
- **Sustainability Disclosure Award** in the honorary award category from Thaipat Institute
- Selected as one of the 100 Thai companies with outstanding ESG performance by Thaipat Institute
- **Most Popular Stock Award in the financial business category**, from Kaohoon newspaper, Asset Pro Management Co., Ltd. (APM) and University of the Thai Chamber of Commerce, under the sponsorship of the Stock Exchange of Thailand and Market for Alternative Investment (mai)
- Eight awards: **Excellence in Client On-Boarding, Highly Commended - Best Mobile Wallet Initiative, Highly Commended - Best Payment Innovation for GrabPay Wallet Powered by KBank, Highly Commended - Excellence in Service Innovation, Highly Commended - Excellence in SME Banking for K SME DIGIBIZ, Highly Commended - Best Debit Card Initiative (JOURNEY Card), Highly Commended - Best Loan Offering (MADFUND by KBank for Lazada Sellers)** and **Best Staff Training and Development Programme** from Retail Banker International journal
- Six awards: **Best Digital Customer Experience in Wealth Management, Loan Offering of the Year (MADFUND by KBank for Lazada Sellers), Outstanding Customer Experience for Loans (MADFUND by KBank for Lazada Sellers), Best Customer Experience – Debit Card (JOURNEY Card), Highly Acclaimed: Best Digital Customer Experience in Private Banking** and **Highly Acclaimed : Best Digital Customer Experience – Loan Application (MADFUND by KBank for Lazada Sellers** from The Digital Banker journal
- Five awards: **Best ESG Green Financing in Southeast Asia: Thailand - PTT Greenbond, Best Local Currency Bond Deal of the Year, Thailand – CPF, Best Bond Deal for Retail Investors in Southeast Asia – CPF, Best Equity Deal of the Year-Thailand** and **Best IPO Deal of the Year- Thailand** from Alpha Southeast Asia magazine
- Four awards: **Best Digital Market Entry Strategy (FinVest), Best Customer Centric Business Model (Grab Lending), Best Customer Relations & Brand Engagement Initiative (KBank New Gen Engagement Project – KBank x BLACKPINK)** and **Best Retail Bank Thailand** from The Digital Banker journal
- Two awards: **Best Retail Bank in Thailand** for the 11th consecutive year and **Best Home Loan Product for New Income Verification Standard for Business Owner, Freelance and Refinance Customers Project** from The Asian Banker journal
- Two awards: **Most Innovative Digital Offering** and **Highly Commended Achievement- Most Effective Investment Service Offering** from Private Banker International

Awards to KBank and K Companies
• 10 awards: **Triple A Best Private Bank in Thailand, Triple A Best Private Bank – HNWIS in Thailand, Best Bond Adviser – Thailand, Innovation Leader of the year, Best Service Provider-Transaction Bank, Best Service Provider-E-Solutions Partner, Best Payments and Collection Solution – GrabPay Wallet, Best Payment and Collection Solution – PEA, Editors' Triple Star For E-Tax Invoice/E-Receipt and Best Service Provider-Fintech Partner (Nominee)** from The Asset magazine • **Domestic Cash Management Bank of the Year 2020** from Asian Banking & Finance (ABF) • **Best Private Bank in Thailand** from PWM/THE Banker Global Private Banking Awards • Three awards: **Financial Management Excellence Award, SMEs Excellence Awards 2020 which jointly received with Land and Property Group – KBank's customer** and **Innovation Excellence Award** from Thailand Management Association (TMA) and Sasin Graduate Institute of Business Administration of Chulalongkorn University • **Product of the Year Award** in the category of financial and investment product category (KBank x BLACKPINK Debit Card) from Business+ magazine and College of Management Mahidol University • **Best LINE TODAY in Finance & Insurance for the KBank x BLACKPINK campaign** from LINE THAILAND • Named **the Excellent Establishment on Labor Relations & Welfare** for the 15th consecutive year granted by the Ministry of Labour • Two awards from the Brandon Hall Group: **A Gold Medal in Best Advance in Competencies and Skill Development** and **A Silver Medal in Best Advance in Leadership Development** • Two Awards: **HR ASIA MOST CARING COMPANIES AWARD 2020 (Thailand Edition)** and **Best Companies to Work for in Asia** from HR Asia magazine
Awards to KAsset
• Three awards: **Best Pension Fund Manager (Thailand)** for the fifth consecutive year, **Best Fund House (Thailand)** for the third consecutive year and **Best House for Alternatives (Thailand)** from Asia Asset Management magazine • **Asset Management Company of the Year (Thailand)** from The Asset magazine (Triple A Sustainable Investing Awards) • **Outstanding Asset Management Company Award** from the Stock Exchange of Thailand and Money & Banking magazine
Awards to KSecurities
• Three awards: **Best Equity Adviser in Thailand, Best IPO in Thailand** and **Best Privatization in Thailand** from The Asset magazine • Two awards: **Best Investment Bank** and **Best ECM House in Thailand** from FinanceAsia magazine • Two awards: **Outstanding Securities Company Awards - Retail Investors** and **Deal of the Year Awards in the category of fund raising via initial public offering (IPO) of Bangkok Commercial Asset Management Public Company Limited (BAM)** from the Stock Exchange of Thailand and Money & Banking magazine
Awards to KBTG
• **Red Hat Innovation Awards APAC for Outstanding Digital Transformation** from Red Hat, Inc • **Thailand Top 10 Finance Applications by MAU (K PLUS)** from App Annie • **Best Company Recruiters (Runner Up)** from LinkedIn Thailand • **Thailand Corporate Excellence Awards for Innovation Excellence** from Thailand Management Association

4. Operating Performance and Financial Position Analysis

4.1 Operating Performance

The overall Thai economy contracted in 2020 due to the COVID-19 pandemic. Economic activity both at home and abroad was severely hit by the highly uncertain situation. Given the unprecedented crisis, KBank implemented assistance measures in a broader scope in line with the Bank of Thailand's policy guidelines under a prudent integrated risk management approach.

Since January 1, 2020, KBank and its subsidiaries have adopted TFRS related to financial instruments (including TFRS 9) in which some items in the financial statements and key financial ratios cannot be compared to those of previous year.

KBank and its subsidiaries reported net profit for 2020 of Baht 29,487 million, a decrease of Baht 9,240 million or 23.86 percent from the previous year. The decrease was due mainly to the fact that KBank and its subsidiaries had continually adopted a prudent approach in setting aside a higher expected credit loss (ECL) of Baht 9,536 million or 28.04 percent over the preceding year, to total Baht 43,548 million. Of this amount, Baht 32,064 million was set aside in the first half of 2020. KBank set aside a smaller expected credit loss in the second half of 2020 as customers' debt servicing ability remained better than expected after the end of the Phase 1 relief measures for customers. We have regularly reviewed the adequacy of our provisions to ensure that they are sufficiently proactive to cope with potential damages from the resurgence of COVID-19 late in the fourth quarter of 2020.

Meanwhile, net interest income increased by Baht 6,334 million or 6.17 percent, due mainly to a decrease in interest expenses as a result of a decrease in average interest rate and a drop in contributions to the Financial Institutions Development Fund (FIDF). As a result, our net interest margin (NIM) stood at 3.27 percent. At the same time, non-interest income decreased by Baht 11,934 million or 20.65 percent, due mainly to declines in revenue from sales of securities and fee income related to loan, which was changed to reflect interest income. In addition, other operating expenses decreased by Baht 2,733 million or 3.76 percent, due mainly to a drop in estimated employee expenses, premises and equipment expenses as well as marketing expenses, while debt management expenses increased. As a result, cost to income ratio stood at 45.19 percent.

Operating Performance for 2020

(Unit: Million Baht)

	2020	2019	Change	
			Increase (Decrease)	Percent
Net Interest Income	109,022	102,688	6,334	6.17
Non-Interest Income	45,869	57,803	(11,934)	(20.65)
Total Operating Income - net	154,891	160,491	(5,600)	(3.49)
Total Other Operating Expenses	69,996	72,729	(2,733)	(3.76)
Expected Credit Loss/Impairment Loss on Loans and Debt Securities	43,548	34,012	9,536	28.04
Net Profit (attributable to equity holders of KBank)	29,487	38,727	(9,240)	(23.86)
Basic Earnings per Share (Baht) [1)]	12.42	16.18	(3.76)	(23.86)

[1)] Basic Earnings per Share = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax divided by weighted average number of common shares

Major financial ratios that reflected operating performance of KBank and our subsidiaries in 2020 and 2019 are as follows:

(Unit: Percent)

Financial Ratio	2020	2019	Increase (Decrease)
Return on Assets (ROA)	0.85	1.20	(0.35)
Return on Equity (ROE)[2)]	7.10	9.90	(2.80)
Net Interest Margin (NIM)	3.27	3.31	(0.04)
Cost to Income Ratio	45.19	45.32	(0.13)

[2)] Return on average equity (ROE) = Net profit (attributable to equity holders of the Bank) deduct dividend from other equity instruments after income tax divided by average equity of equity excluded other equity instruments

(Unit: Percent)

Financial Ratio	2020	2019	Increase (Decrease)
Significant increase in credit risk loans[3] to total loans[4]	7.80	-	7.80
Significant increase in credit risk loans and credit impaired loans[5] to total loans[4]	11.81	-	11.81
NPLs gross[6] to total loans[7]	3.93	3.65	0.28
Total allowance to NPL gross (Coverage ratio)[8]	149.19	148.60	0.59
Loans[9] to Deposits Ratio	95.73	96.62	(0.89)
Capital Adequacy Ratio[10]	18.80	19.62	(0.82)
Tier 1 Capital Ratio[10]	16.13	16.19	(0.06)

[3] Significant increase in credit risk loans used in calculation are loans to customers and loans to financial institutions which credit risk has increased significantly

[4] Loans used in calculation are loans to customers and loans to financial institutions and accrued interest receivables and undue interest receivables

[5] Credit impaired loans used in calculation are loans to customers and loans to financial institutions which credit risk has impaired

[6] NPL gross used in calculation are loans to customers and loans to financial institutions of non-performing loans excluded loans for credit balance and life insurance business

[7] Included allowance for expected credit loss of loan commitment and financial guarantee, deposit to financial institutions, investment and other financial assets

[8] Included allowance for expected credit loss of loan commitment and financial guarantee, deposit to financial institutions, investments and other financial assets

[9] Loans = Loans to customers

[10] KASIKORNBANK FINANCIAL CONGLOMERATE's Capital Adequacy Ratio (CAR)

❑ Net Interest Income

KBank's consolidated net interest income for 2020 was Baht 109,022 million, increasing Baht 6,334 million or 6.17 percent over-year, due mainly to decreasing interest expenses as a result of a temporary decrease in contributions to Financial Institutions Development Fund (FIDF) from 0.46 percent p.a. to 0.23 percent p.a. during 2020-2021 and a decrease in average interest rate on deposits as well as a decrease in interest income from interbank and money market item mainly due to a decrease in average interest rate.

Our NIM for 2020 equaled 3.27 percent, lower than 3.31 percent in the previous year.

(Unit: Million Baht)

	2020	2019	Change	
			Increase (Decrease)	Percent
Interest Income				
Interbank and Money Market Items	**3,118**	**6,390**	**(3,272)**	**(51.22)**
Deposits	179	1,249	(1,070)	(85.69)
Loans (without Repurchase Agreements)	736	506	230	45.35
Repurchase Agreements	2,203	4,635	(2,432)	(52.48)
Investments	**21,711**	**21,539**	**172**	**0.80**
Investments and Trading Transactions	156	395	(239)	(60.42)
Available-for-Sale Investments	-	4,707	(4,707)	(100.00)
Held-to-Maturity Investments	-	16,437	(16,437)	(100.00)
Investment in Debt Instruments measured at Fair Value through Other Comprehensive Income	4,040	-	4,040	100.00
Investment in Debt Instruments measured at Amortized Cost	17,492	-	17,492	100.00
Others	23	-	23	100.00
Loans	**96,834**	**96,376**	**458**	**0.48**
Hire Purchase and Finance leases	**5,913**	**5,859**	**54**	**0.91**
Others	**16**	**14**	**2**	**16.20**
Total Interest Income	**127,592**	**130,178**	**(2,586)**	**(1.99)**
Total Interest Expenses	**18,570**	**27,490**	**(8,920)**	**(32.45)**
Total Interest Income – net	**109,022**	**102,688**	**6,334**	**6.17**
Yield on Earning Assets (percent)	3.83	4.19		(0.36)
Cost of Fund (percent)	0.78	1.23		(0.45)
Net Interest Margin (NIM) (percent)	**3.27**	**3.31**		**(0.04)**

❑ Non-Interest Income

In 2020, KBank's consolidated non-interest income totaled Baht 45,869 million, decreasing Baht 11,934 million, or 20.65 percent over-year. The decrease was attributable mainly to decreases in revenue from sale of securities, fee income related to loan which was changed to reflect in interest income per TFRS 9 and fee income from card business, while brokerage fee increased.

(Unit: Million Baht)

	2020	2019	Change	
			Increase (Decrease)	Percent
Non-Interest Income				
Fees and Service Income	45,699	50,580	(4,881)	(9.65)
Fees and Service Expenses	12,695	13,840	(1,145)	(8.28)
Fees and Service Income – net	**33,004**	**36,740**	**(3,736)**	**(10.17)**
Gain (Loss) on Financial Instrument measured at Fair Value through Profit or Loss/Gain (Loss) on Trading and Foreign Exchange Transactions	8,119	8,362	(243)	(2.90)
Gain (Loss) on Investments	1,308	8,412	(7,104)	(84.45)
Share of Profit (Loss) from Investments using Equity Method	(193)	44	(237)	(538.64)
Dividend Income	2,384	2,817	(433)	(15.35)
Net Premiums Earned	72,129	80,489	(8,360)	(10.39)
Other Operating Income	1,683	1,592	91	5.70
Less Underwriting Expenses	72,565	80,653	(8,088)	(10.03)
Total Non-Interest Income	**45,869**	**57,803**	**(11,934)**	**(20.65)**

❑ Other Operating Expenses

KBank's consolidated other operating expenses for 2020 was Baht 69,996 million, decreasing Baht 2,733 million, or 3.76 percent over-year. The decrease could be attributed mainly to a decline in estimated employee expenses, premises and equipment expenses and marketing expenses, while debt management expenses increased. Our cost to income ratio of 2020 was thus equal to 45.19 percent, decreasing from 45.32 percent in the previous year.

(Unit: Million Baht)

	2020	2019	Change	
			Increase (Decrease)	Percent
Employee Expenses	32,143	33,261	(1,118)	(3.36)
Directors' Remuneration	160	159	1	0.80
Premises and Equipment Expenses	12,165	12,910	(745)	(5.77)
Taxes and Duties	5,088	5,031	57	1.13
Others	20,440	21,368	(928)	(4.35)
Total Other Operating Expenses	**69,996**	**72,729**	**(2,733)**	**(3.76)**
Cost to Income Ratio (percent)	**45.19**	**45.32**		**(0.13)**

❑ Classified Loans and Expected Credit Loss

● Classified Loans

KBank classified loans into three levels per TFRS 9. The classified loans in stage 2 include the loans with significantly increasing credit risk since initial recognition but without credit impaired. As of December 31, 2020, KBank and its subsidiaries had a total of Baht 2,581,082 million in loans to customers and financial institutions. Loans to customers (excluding financial institutions) including accrued interest receivables and undue interest receivables including allowance for expected credit loss consist of:

Unit: Million Baht

	Dec. 31, 2020	
	Loans and accrued interest receivables	Allowance for expected credit loss
Stage 1 Performing	1,951,216	42,954
Stage 2 Underperforming	201,382	49,439
Stage 3 Non-performing	103,495	42,000
Total	2,256,093	134,393

Underperforming loans to total loans were equal to 7.80 percent and underperforming loans to non-performing loans were equal to 11.81 percent.

● Modified Loans

KBank and its subsidiaries engaged in modification contracts which were classified as NPL and non-NPL that incurred losses, but not included customers under the Bank of Thailand's relief measures. In the year of 2020, there were loans before modification amounting to Baht 14,162 million and incurred losses amounting to Baht 2,059 million.

● Expected Credit Loss

KBank and its subsidiaries set aside higher expected credit loss of Baht 9,536 million or 28.04 percent over the preceding year, to total Baht 43,548 million. Of this amount, Baht 32,064 million was set aside in the first half of 2020. KBank set aside a smaller expected credit loss in the second half of 2020 as customers' debt servicing ability remained better than expected after the end of the Phase 1 relief measures for customers. We have regularly reviewed the adequacy of our provisions to ensure that they are sufficiently proactive to cope with potential damages from the resurgence of COVID-19 late in the fourth quarter of 2020. Thus, our expected credit loss to average loans for 2020 stood at 2.05 percent, higher than 1.74 percent in the previous year.

Expected Credit Loss

(Unit: Million Baht)

	2020	2019	Change	
			Increase (Decrease)	Percent
Expected Credit Loss/Impairment Loss on Loans and Debt Securities	43,548	34,012	9,536	28.04
Expected Credit Loss to Average Loans (percent)	2.05	1.74		0.31

Allowance for Expected Credit Loss

As of December 31, 2020, our consolidated allowance for expected credit loss totaled Baht 134,393 million.

– Non-Performing Loans and Properties Foreclosed

Non-Performing Loans

As of December 31, 2020, KBank's consolidated NPLs stood at Baht 101,007 million, or 3.93 percent of the total loans, including financial institutions. Bank's NPLs totaled Baht 98,221 million, or 3.94 percent of the total loans, including financial institutions. The NPLs data is shown in the table below:

Non-Performing Loans

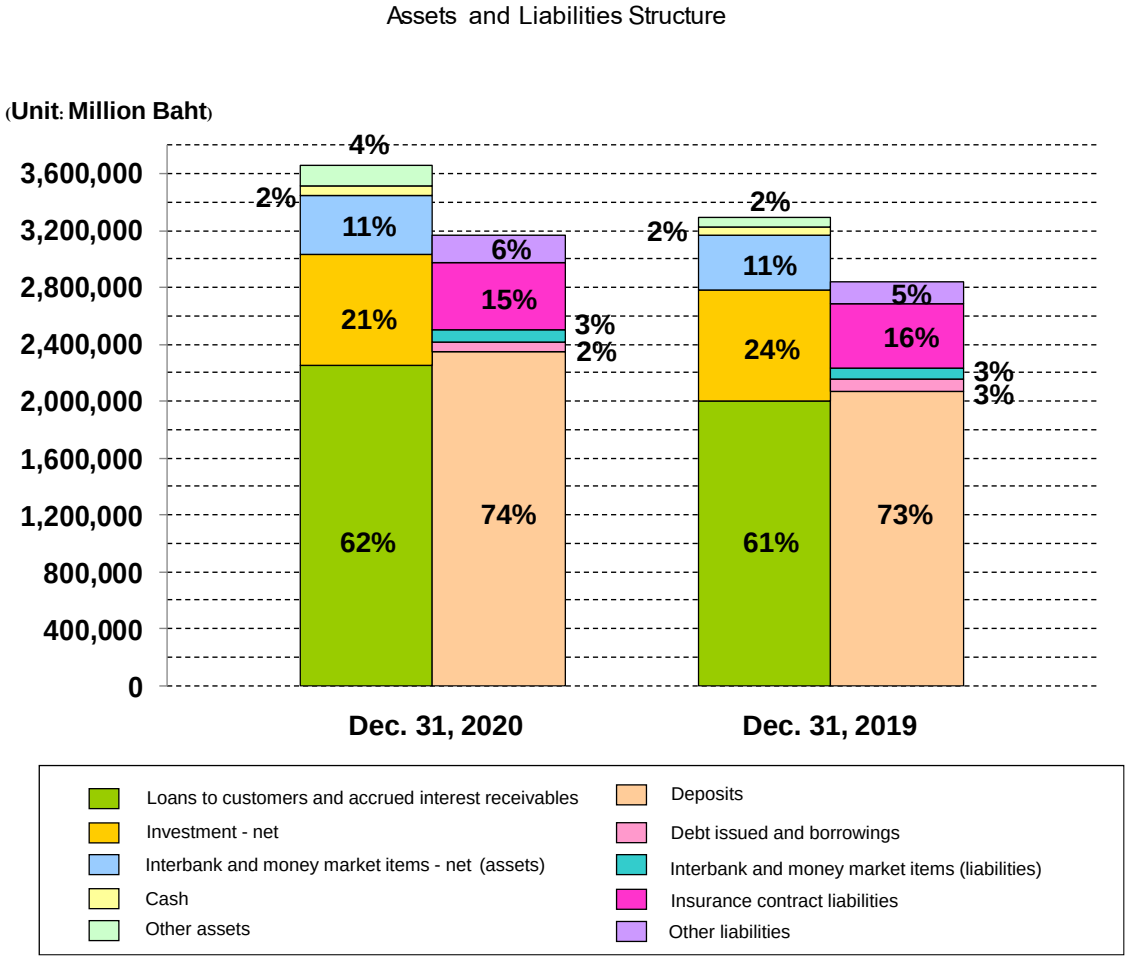
(Unit: Million Baht)

For the Year Ending	Dec. 31, 2020	Dec. 31, 2019
Consolidated NPLs	101,007	84,038
Percent of total loans including financial institutions	3.93	3.65
Bank-only NPLs	98,221	81,814
Percent of total loans including financial institutions	3.94	3.62

Properties Foreclosed

As of December 31, 2020, our consolidated properties foreclosed had a net value of Baht 28,035 million, thus being 0.77 percent of total assets.

4.2 Financial Position Analysis

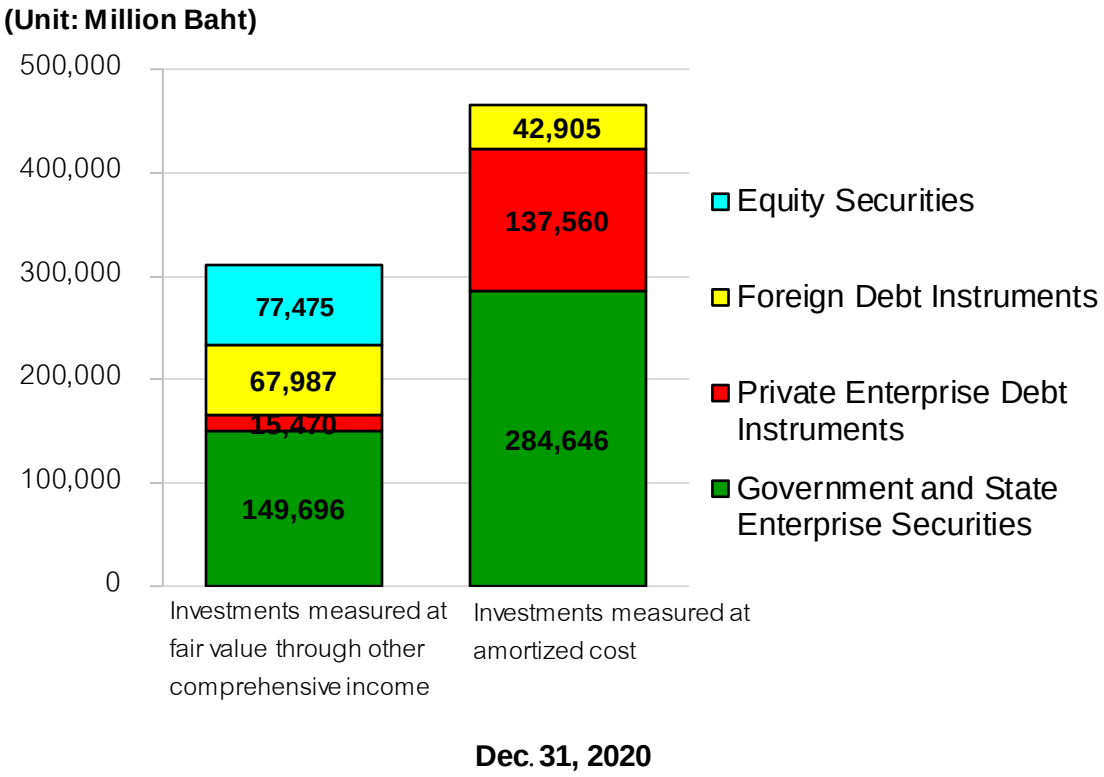


❑ Assets

At the end of 2020, KBank's consolidated assets totaled Baht 3,658,798 million, increasing Baht 364,909 million or 11.08 percent from the end of 2019. The rise was due mainly to increase in loans to customers. Key details are as follows:

- Loans to customers totaled Baht 2,244,821 million at the end of 2020, increasing by Baht 242,865 million or 12.13 percent from the end of 2019 due mainly to rising commercial loans and housing loans.
- Financial assets measured at fair value through profit or loss at the end of 2020 rose to Baht 46,666 million. The increase was due mainly to reclassification of items from net investments to financial assets measured at fair value through profit or loss in line with TFRS 9.
- Interbank and money market items - net (assets) totaled at Baht 417,420 million at the end of 2020, increasing by Baht 31,480 million, or 8.16 percent from the end of 2019, due mainly to KBank's liquidity management.

Investments in Securities



❑ Liabilities and Equity

Our consolidated liabilities at the end of 2020 amounted to Baht 3,167,512 million, which rose Baht 327,338 million or 11.53 percent from the end of 2019. The increase was mainly attributable to increased deposits, and insurance contract liabilities. Significant changes in our consolidated liabilities included:

- Deposits at the end of 2020 equaled Baht 2,344,999 million, increasing Baht 272,950 million or 13.17 percent from the end of 2019, mainly as a result of increase in savings deposits.
- Insurance contract liabilities at the end of 2020 were Baht 472,015 million, an increase of Baht 25,920 million or 5.81 percent from the end of 2019, in line with a growing volume of insurance business.
- Debt issued and borrowings at the end of 2020 equaled Baht 69,390 million, decreasing Baht 12,434 million or 15.20 percent from the end of 2019, due largely to early redemption of subordinated instruments intended to qualify as Tier 2 Capital of KASIKORNBANK PCL No.1/2014, due for redemption in 2025.

Equity (attributable to KBank) at the end of 2020 amounted to Baht 439,670 million, increasing Baht 33,312 million or 8.20 percent from the end of 2019, derived mainly from KBank's net operating profit in 2020 and issuance of subordinated financial instruments without a representative of the noteholders, intended to qualify as additional Tier 1 capital. Equity excluded other equity instruments (attributable to equity holders of

the Bank) at the end of 2020 totaled Baht 424,121 million. While decreased from the dividend from the operating results of 2019.

❑ Relationship between Sources and Uses of Funds

As of December 31, 2020, the funding structure as shown in the consolidated financial statement comprised Baht 3,167,512 million in liabilities and Baht 439,670 million in total equity, resulting in a debt-to-equity (attributable to KBank) ratio of 7.20. The main source of funds on the liabilities side was deposits, which equaled Baht 2,344,999 million, or 64.09 percent of the total source of funds, as of December 31, 2020. Other sources of funds included interbank and money market items as well as debt issued and borrowings, which accounted for 2.40 percent and 1.90 percent of the total source of funds, respectively.

KBank and Subsidiaries' Major Sources and Uses of Funds

(Unit: Million Baht)

Period	Deposits				Loans			
	Dec. 31, 2020	Percent	Dec. 31, 2019	Percent	Dec. 31, 2020	Percent	Dec. 31, 2019	Percent
≤ 1 Year	2,322,875	99.06	2,047,529	98.82	952,391	42.21	933,893	46.65
> 1 - 5 Years	22,124	0.94	24,520	1.18	498,520	22.10	392,169	19.59
> 5 Years	-	-	-	-	805,182	35.69	675,894	33.76
Total	2,344,999	100.00	2,072,049	100.00	2,256,093	100.00	2,001,956	100.00

Deposits with maturities within one year were larger than loans with remaining maturities within one year. This is considered normal for commercial banks in Thailand. Most deposits remain with KBank longer than their stated contractual term, thereby helping to support funding for KBank's lending.

As of December 31, 2020, KBank and subsidiaries' major use of funds was loans to customers which amounted to Baht 2,244,821 million, resulting in loan-to-deposit ratio and loan-to-deposit plus bills of exchange ratio of 95.73 percent. As for the remaining liquidity, KBank invested in various selections of liquid assets, such as interbank and money market items and investments in securities.

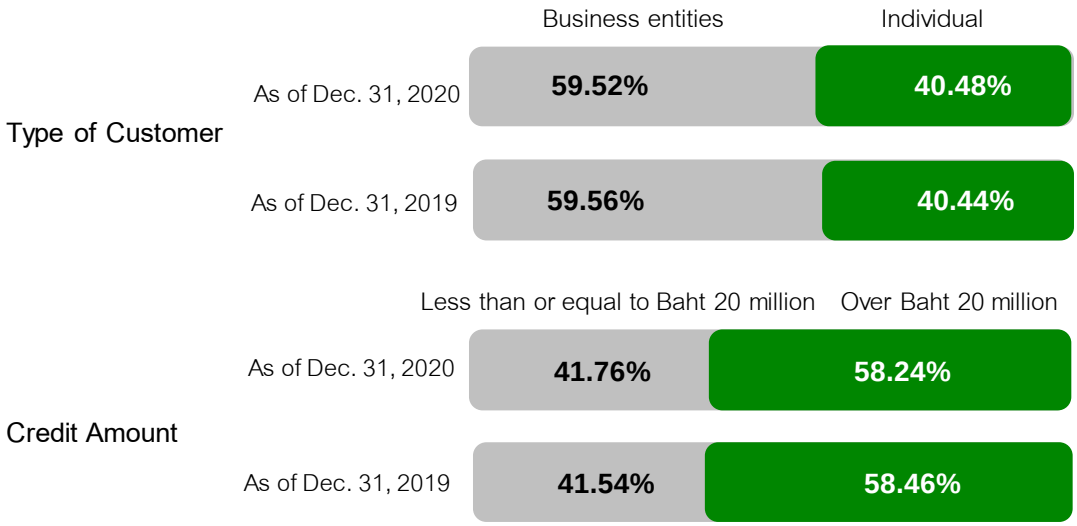
4.3 Loans and Deposits

❑ Loans

As of December 31, 2020, KBank's consolidated outstanding loans stood at Baht 2,244,821 million, increasing by Baht 242,865 million, or 12.13 percent, compared to Baht 2,001,956 million at the end of 2019.

As of December 31, 2020, 59.52 percent of KBank's outstanding loans were made to juristic persons or registered businesses. Loan accounts exceeding Baht 20 million accounted for 58.24 percent of the total.

Loan Portfolio by Type of Customer and Credit Amount



Loans Classified by Business

(Unit: Million Baht)

	Dec. 31, 2020		Dec. 31, 2019	
	Corporate Business[1]	Retail Business[2]	Corporate Business[1]	Retail Business[2]
Loans	1,546,768	637,910	1,363,221	555,451

Note: [1] "Corporate Business" refers to registered companies, certain private individual business customers, government agencies, state enterprises, as well as financial institutions, etc. KBank provides a variety of financial products and services to them, e.g., long-term and working capital loans, letters of guarantee, trade finance solutions, syndicated loans, cash management solutions and value chain solutions.

[2] "Retail Business" refers to private individual customers using KBank products and services, e.g., deposit accounts, debit cards, credit cards, personal loans, housing loans, financial advisory services, investment products and other transactional services.

As of the end of 2020, our corporate business loans (Corporate and SME customers) had increased by Baht 183,547 million, or 13.46 percent, from the end of 2019. KBank continued to provide support to customers seeking loans to boost liquidity for their business operation. We focused on data analytics for loan approval under an acceptable risk appetite amid heightened risks as economic activity of major economic sectors was stifled due to weakened domestic demand amid the COVID-19 pandemic and knock-on effects of the global economic downturn. KBank therefore maintained growth in outstanding loans, especially in construction, commerce and petrochemical industries. Meanwhile, the hotel industry saw slight growth in outstanding loans compared to the previous year thanks to assistance measures under the Bank of Thailand's guidelines, namely suspension of principal payment only or both principal and interest payment, loan for liquidity enhancement and debt restructuring.

Our retail loans for 2020 grew by Baht 82,459 million, or 14.85 percent, compared to 2019. However, the growth could be attributed to our assistance measures provided to customers across all products, including K-Credit Card, Xpress Cash, Xpress Loan, home loan and KLeasing auto loans. Helping to ease customers' burdens and boost their liquidity, these relief measures included suspension of principal payment only or both principal and interest payment, reduction of per-installment payment, reduction of interest rate ceiling by 2-4 percent for credit card loan, personal loan under supervision and car registration loan, debt consolidation for retail debtors at financial institutions under the same financial conglomerate in order to take advantage of existing collateral, thus effectively reducing their interest burden, as well as debt payment rescheduling. To further expand our loan customer base, KBank prioritized the offering of loans that catered to the demands of all customer groups. Notable efforts included home loan refinance and Home to Cash. We also offered a channel for personal loan request on K PLUS designed for retail customers.

KBank is always on hand to provide additional assistance to all customer segments as the present situation continues to unfold. We are ready to cooperate with the government to assist business operators and reinvigorate the Thai economy.

❑ Deposits

Deposits Classified by Type of Deposit Account

(Unit: Million Baht)

	Percent of Total Deposits	Deposits		Change	
		Dec. 31, 2020	Dec. 31, 2019	Increase (Decrease)	Percent
Total Deposits	**100.00**	**2,344,999**	**2,072,049**	**272,950**	**13.17**
Current accounts	5.71	133,802	118,550	15,252	12.87
Savings accounts	74.55	1,748,237	1,466,473	281,764	19.21
Fixed-term deposit accounts	19.74	462,960	487,026	(24,066)	(4.94)

Overall, competition in the deposit market in 2020 was limited due to the COVID-19 pandemic which contributed to risk-off sentiment, leading to a shift to deposits among the general public and business sector. During the year, deposit growth exceeded demand for loans despite the policy rate falling to a record low of 0.50 percent p.a. Savings accounts rose significantly, reducing the incentive to mobilize funds via the launch of special fixed-term deposits. Therefore, fixed-term deposit accounts saw a decline. This allowed KBank to efficiently manage deposit cost and ensure sufficient liquidity amid volatility in money and capital markets along with a balanced distribution of deposits in each customer segment, in alignment with the strategies of a Bank of Sustainability and Customer Centricity, while strengthening customer relationships and our status as Customers' Main Bank.

Guided by our strategy of becoming a digital banking leader in step with the digital society and 'new normal' environment in 2020, we introduced LINE BK – a new service channel via the LINE application under the concept, "Easy Money in Your LINE" – that allows customers to open a LINE BK deposit account with

special interest rates, and apply for a LINE BK Debit Card and loan by themselves. They can also conduct other financial services such as funds transfer via LINE Chat with no need to switch between applications or memorize the recipient's account number, and send a money request to friends in a LINE chat via the "Request Money" service, with LINE notifications to monitor account movement. The move is conducive to expansion of the new customer base and elevating the existing customer experience with increased use of services.

Regarding investment management, KBank adhered to the Investor Focus strategy to enhance investment efficiency for our customers in a volatile market environment through the launch of funds suited to the fluid global situation, and the development of investment products and services aligned with investors' needs – especially the new generation – while also giving them recommendations for a diversified portfolio with multiple asset classes around the globe, including both high-risk and low-risk assets, to generate returns in varied market circumstances and minimize volatility.

4.4 Treasury Operations

During 2020, average overnight interbank lending rates stood at 0.65 percent p.a., down from the average rate of 1.58 percent p.a. in 2019. Those rates were influenced by the three policy rate cuts of 0.25 percent p.a. each per the resolutions from the Monetary Policy Committee (MPC) meetings, wherein the key policy rate was cut from 1.25 percent in 2019 to 0.50 percent p.a. in 2020.

KBank's guideline for investment portfolio management is to prioritize the maintenance of liquidity in order to support any future change in business conditions. In addition, investment strategy was established in line with the changes in economic conditions, as well as the movements of money and capital markets both at home and abroad. In 2020, amid the continuously declining interest rates throughout the year given an ongoing economic slowdown in Thailand and across the globe as a result of the COVID-19 pandemic, KBank increased its investment position in long-term government bonds offering appropriate yields, to be consistent with market interest rates that remained at low levels. At the same time, KBank reduced its holding of short-term government bonds with lower returns than the projected policy rate, to generate returns to KBank within an appropriate risk appetite.

Treasury Operations Income

(Unit: Million Baht)

Income Structure of Treasury Operations (Banking Book)	Percent of Total Income	2020	2019	Change	
				Increase (Decrease)	Percent
Interest Income[1]					
Interbank and money market items[2]	38.64	2,940	5,602	(2,662)	(47.52)
Investments	61.36	4,669	5,038	(369)	(7.32)
Total	100.00	7,609	10,640	(3,031)	(28.49)

Note: [1] Managerial figures

[2] Including loans

During 2020, total interest income stood at Baht 7,609 million, decreasing Baht 3,031 million, or 28.49 percent from the previous year, due to the declining interest rate in the market in line with the policy interest rate.

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❑ Liquid Asset Ratio

KBank maintains average fortnightly current deposits at not lower than 1.00 percent of total deposits and certain types of borrowings in accordance with the Bank of Thailand's regulations. As of December 31, 2020, our deposits at the Bank of Thailand and cash at cash center averaged Baht 38,053 million.

4.5 Operating Performance of K Companies and Muang Thai Life Assurance PCL

Operating Performance of K Companies[1)] and Muang Thai Life Assurance PCL

(Unit: Million Baht)

	Performance Measurement	2020	2019	2018
KASIKORN ASSET MANAGEMENT CO., LTD. (KAsset)	Assets under Management	1,477,369	1,431,243	1,379,736
	Market Share (Percent)	17.84	18.50	19.23
KASIKORN SECURITIES PCL (KSecurities)	Trading Volume	1,118,984	682,978	739,271
	Market Share (Percent)	3.75	3.04	2.98
KASIKORN LEASING CO., LTD. (KLeasing)	Outstanding Loans	114,895	114,769	108,081
KASIKORN FACTORY AND EQUIPMENT CO., LTD. (KF&E)	Outstanding Loans	25,106	22,875	20,377
Muang Thai Life Assurance PCL (MTL)	Net Premiums Earned	75,327	83,840	94,467
	Market Share (Percent)	12.55	13.72	15.06

Note: [1)] KResearch is not included, since this company does not engage in financial business.

During 2020, K Companies and Muang Thai Life Assurance PCL (MTL) attained satisfactory qualitative and quantitative operating performance despite the COVID-19 pandemic. This achievement was attributable to the close cooperation between KBank and K Companies, as well as MTL.

▪ **KASIKORN ASSET MANAGEMENT CO., LTD. (KAsset):** KAsset monitored the investment situation, returns and risks of all types of instruments both domestically and internationally with close scrutiny, given the extraordinary circumstances. This allowed us to assess the returns and risk of securities that could be affected by the COVID-19 crisis, in order to appropriately adjust investment portfolios, and create opportunities for obtaining returns from investment in other securities while also keeping risks within the established limits. In addition, KAsset focused on communicating information about the investment situation via

digital channels on a regular basis to keep our customers informed and ensure their continued confidence in the company's asset management. Customers were also given recommendations on investment alternatives and portfolio management appropriate for their risk appetite via 'My Message' of the K-My Funds application, e-News Asset and Facebook.

Given all of these endeavors, KAsset maintained the number-one position in the mutual fund business as gauged by assets under management in this category, with a market share of 22.07 percent. Total market share of assets under management (AUM) was 17.84 percent. This excellent performance was due in part to its synergy with KBank in developing products to match consumers' needs. To maintain customer confidence during the COVID-19 pandemic, KAsset introduced mutual funds that offered potential returns greater than those of debt instruments and foreign deposits. The company also conducted bond forward transactions including Term Fund Plus KFF21H and Term Fund Extra KEC4-AI. Other notable endeavors included the launch of Super Savings Funds (SSFs) and Retirement Mutual Funds (RMFs) that offer tax benefits and focus on overseas investments with bright growth prospects. They were K Superstar Super Savings Fund Extra (K-SUPSTAR-SSFX) – the industry's largest SSF of which the investment policy is similar to K STAR Equity Fund-A(R) (K-STAR-A(R)) that received a five-star rating from Morningstar; K Positive Change Equity Fund-SSF (K-CHANGE-SSF) which attracted the largest investment from investors compared to peers; and K Positive Change Equity RMF (KCHANGERMF) that received an overwhelming response compared to other KAsset RMFs investing abroad.

Regarding sales channels, KAsset worked with KBank in enhancement of efficiency for fund distributors in compliance with the regulations of the Office of the Securities and Exchange Commission (SEC). Focus was on sales competency, initiation and development of sales support tools as well as digital channels for providing information and recommending investments that are easily accessible to customers, especially via website, online media, K PLUS and K-My Funds applications. Moreover, KAsset developed the opening of online mutual fund account to accommodate other banks' deposit accounts – another way for KBank to acquire customers.

- **KASIKORN SECURITIES PCL (KSecurities):** The company emphasizes development of excellent products and services. The company also developed tools for efficiently tracking and managing customer portfolios. Along with this, KSecurities teamed with KBank in developing an online securities account opening system for new investors to ensure greater convenience and swiftness, resulting in an increase in the volume of online securities accounts opened online. Moreover, focus was on provision of knowledge about online investment in sync with investor behavior in the digital era, allowing them to access data anywhere, anytime. Through these endeavors, KSecurities held an increased market share of 3.75 percent.

- **KASIKORN LEASING CO., LTD. (KLeasing):** In 2020, the COVID-19 pandemic severely affected certain customer groups' financial standing and debt servicing ability. Hence, KLeasing implemented assistance measures to support crisis-hit customers in line with the Bank of Thailand's guidelines under the 'Stronger Together' program. Loan customers were offered leniency through suspension of principal and

interest payment, lower installment payments, extension of repayment period and interest rate reduction to not more than 22 percent p.a. for Car to Cash (car registration loan).

At the same time, stifled economic activity which plunged the economy into a recession caused customers' purchasing power in the new vehicle market to sharply deteriorate, especially during the first half of 2020, before gradually recovering once lockdown measures were lifted in the second half of 2020. Nevertheless, weakened purchasing power evidently bolstered demand for pre-owned cars this year. Therefore, KLeasing saw growth of 581.50 percent in Auto Loan (Used Car). Moreover, the company supported ride hailing platform operators in having improved access to financial services for car and motorcycle hire purchase to use in their operations. Consequently, the total amount of motorcycle hire purchase loan rose to Baht 80 million. Given the policy of customer retention and expansion of new loans, KLeasing's total outstanding loan increased by 0.11 percent.

- **KASIKORN FACTORY AND EQUIPMENT CO., LTD. (KF&E):** In 2020, KF&E's outstanding equipment leasing increased by 9.75 percent. The company focused on forging alliances with customers who are machinery dealers and increasing its market share in equipment leasing for new industires, including robotics and digital technologies, software, healthcare, and renewable energy such as solar rooftops. Additionally, the company also extended its leasing and hire purchase services to franchise businesses with growth potential. Meanwhile, KF&E introduced assistance measures for customers affected by COVID-19, through reduction of their installment payments in line with the Bank of Thailand's guidelines.

- **Muang Thai Life Assurance PCL (MTL):** The company maintained its prominence in the life insurance business with a market share in total premiums at 12.55 percent, ranking 4 in the industry, and new business premiums that ranked second for bancassurance. This achievement reflects its cooperation with KBank in developing new forms of insurance policies that correspond to the demands of each consumer group. In 2020, the company generated higher sales in whole life insurance, which in turn helped to increase the sales of health and critical illness insurance products.

MTL Insurance products that were jointly developed with KBank in 2020 included: (1) "Worry-Free Insurance" featuring a life and health lump sum insurance plan; (2) "Delight Health" – a life and health insurance plan aimed at middle-income customers with health benefits and those wishing to plan their own health benefits; (3) "OnePlus 10/1" – a life insurance plan that was offered via K PLUS for customers seeking personal income tax reduction; and (4) free COVID-19 coverage for K PLUS customers and additional COVID-19 life insurance available at KBank branches.

Furthermore, the company unveiled its own digital service channel, MTL Click Application, to facilitate customers in checking policy information, making insurance premium payments and filing compensation claims. It also launched certain services via video call, such as life and health insurance inquiry and Policy Loans.

Regarding sales promotion, KBank has encouraged our employees to use tablets as BA sales tools, as part of our effort to develop the sales process for completeness and accuracy in accordance with the market conduct rules. So doing will be conducive to sustainable growth of bancassurance business.

4.6 Capital Requirements

Placing great emphasis on capital as a significant funding source for business operations that also reflects the financial strength and credibility of a financial institution, KBank has adopted capital management framework in line with international sound practice. KBank's Capital Management Sub-Committee is responsible for planning and overseeing capital adequacy, while the Risk Oversight Committee supervises capital management of the Conglomerate for enhanced efficiency. Moreover, KBank has forward-looking capital planning for assessment of capital adequacy based on economic outlook, our business plans and regulatory changes while also regularly undertaking stress tests to ensure that we have adequate capital for operations under normal and stressed situations.

As of the end of 2020, KASIKORNBANK FINANCIAL CONGLOMERATE, under the Basel III capital requirements, had capital funds of Baht 452,095 million, consisting of Baht 372,250 million in Common Equity Tier-1 capital, Baht 387,854 million in Tier-1 capital and Baht 64,241 million in Tier-2 capital. The capital adequacy ratio was 18.80 percent, which is above the Bank of Thailand's minimum requirement and buffer requirement of 12.00 percent.

❑ Overview of Capital Requirements

After the global financial crisis, the Basel Committee on Banking Supervision (BCBS) undertook a great effort to revise capital supervision framework (Basel III) to reinforce the stability of the global banking system. The framework is intended to increase financial institutions' ability to absorb losses that may be incurred. Financial institutions are required to have enhanced capital quality and quantity. The Bank of Thailand has adopted the reforms in Thailand. The capital requirements are summarized as follows:

Capital requirements comprise two parts:

1. Minimum Capital Requirement: Total capital ratio must be maintained at not less than 8.5 percent, comprising Common Equity Tier-1 ratio (CET1 ratio) and Tier-1 ratio at not less than 4.5 percent and 6.0 percent of total risk weighted asset, respectively.
2. Capital Buffer: The Bank of Thailand requires that conservation buffer be maintained, with CET1 ratio of more than 2.5 percent of total risk weighted asset in addition to minimum capital ratio. Domestic Systematically Important Banks (DSIBs) are required to maintain the additional CET1 of 1.00 percent of total risk weighted assets. KBank's and the Conglomerate's capital levels are above regulatory requirements.

Capital Adequacy Ratio[1)]

- KASIKORNBANK FINANCIAL CONGLOMERATE[2)]

(Unit: Percent)

Capital Adequacy Ratio	Basel III						
	Minimum Requirement & Buffer Requirement[3)]	Dec. 31, 2020	Sep. 30, 2020	Jun. 30, 2020	Mar. 31, 2020	Minimum Requirement & Buffer Requirement[3)]	Dec. 31, 2019
Tier-1 Capital Ratio	9.50	16.13	15.74	15.38	15.17	9.00	16.19
Common Equity Tier-1 Ratio	8.00	15.48	15.74	15.38	15.17	7.50	16.19
Tier-2 Capital Ratio	-	2.67	2.71	2.71	3.36	-	3.43
Capital Adequacy Ratio	12.00	18.80	18.45	18.09	18.53	11.50	19.62

- The Bank

(Unit: Percent)

Capital Adequacy Ratio	Basel III						
	Minimum Requirement & Buffer Requirement[3)]	Dec. 31, 2020	Sep. 30, 2020	Jun. 30, 2020	Mar. 31, 2020	Minimum Requirement & Buffer Requirement[3)]	Dec. 31, 2019
Tier-1Capital Ratio	9.50	14.94	14.47	14.15	14.08	9.00	14.94
Common Equity Tier-1 Ratio	8.00	14.26	14.47	14.15	14.08	7.50	14.94
Tier-2 Capital Ratio	-	2.80	2.82	2.83	3.49	-	3.58
Capital Adequacy Ratio	12.00	17.74	17.29	16.98	17.57	11.50	18.52

Note: [1)] Excluding net profit of each period, which under the Bank of Thailand's regulations, net profit in the first half-year period is to be counted as capital after approval by the Board of Directors per KBank's regulations. Net profit in the second half-year period is counted as capital after approval of the General Meeting of Shareholders. However, whenever a net loss occurs, the capital must be immediately reduced at the end of period.

[2)] KASIKORNBANK FINANCIAL CONGLOMERATE means the company under the Notification of the Bank of Thailand Re: Consolidated Supervision, consisting of KASIKORNBANK, K Companies and subsidiaries operating in support of KBank, Phetai Asset Management Co., Ltd. and other subsidiaries within the permitted scope from the BOT's to be a financial conglomerate.

[3)] Bank of Thailand required the Bank to maintain two capital buffers as follows:

- Conservation buffer: BOT required the Bank to maintain an additional Common Equity Tier 1 at 2.50 percent per annum since 1 January 2019 onwards.
- Domestic Systematically Important Banks Buffer (D-SIBs Buffer): Bank of Thailand required the D-SIBs to maintain an additional Common Equity Tier 1 at 1.00 percent per annum on a phase-in basis at 0.50 percent from 1 January 2019 and increase to be 1.00 percent from 1 January 2020 onwards.

- **Performance Measurements using Risk-Adjusted Return on Capital (RAROC) and Economic Profit (EP)**

During 2020, we continued to use Value-Based Management (VBM), which is a management practice comprising two main components, Corporate Value Creation and Corporate Governance. The VBM has been applied to business undertaking with the aim of achieving the highest value creation in accordance with our business strategies and goals. In achieving this objective, the Risk-Adjusted Return on Capital (RAROC) and Economic Profit (EP) – showing net profit after adjusting cost of capital charge – have been adopted as key measurements.

Moreover, we have developed guidelines for performance measurements consistent with various management aspects, including business direction, strategic and business planning that takes into consideration risk-adjusted returns, risk-based pricing and efficient resource management. In addition, we measure our business performance and analyze value-based profit, along with our "Customer Centricity" strategy to strengthen our competitive advantage in the dimension of customer segments and product domains, paying attention to the linkages between them while also monitoring risk via Active Credit Portfolio Management (ACPM) Dashboard and Stress Test Dashboard which are used by business units for decision making on analysis and manage at both bank-wide and each customer level. Meanwhile, related business units have adopted value-based analyses for their viability assessments on investment projects, allowing them to effectively adjust their business strategies in alignment with the changing market conditions and attain the highest efficiency in value creation management.

4.7 Credit Ratings

During 2020, Thailand's rating outlook and KBank's ratings were changed in line with Thai commercial bank business which was affected by the COVID-19 pandemic.

- **Moody's**: In April 2020, Moody's Investors Service changed the outlook on the long-term ratings of many Thai banks, including KBank, to stable from positive, following the change in the outlook for the Thailand's rating to stable from positive.
- **Fitch Ratings**: In April 2020, Fitch Ratings downgraded KBank's ratings, including other Thai banks.
- **Standard & Poor's**: In August 2020, Standard & Poor's changed the outlook on the long-term ratings of two Thai banks, including KBank, to watch negative from stable, following the change in the outlook for the banking industry outlook to negative from stable.

Details are shown in the following table.

KASIKORNBANK's Credit Ratings

Credit Ratings Agency	Dec. 31, 2020	Dec. 31, 2019
Moody's Investors Service[1)]		
Foreign Currency		
Outlook	Stable	Positive
Long-term - Senior Unsecured Notes	Baa1	Baa1
- Deposit	Baa1	Baa1
- Counterparty Risk	A3	A3
- Subordinated Debt	Baa3	Baa3
Short-term - Debt/Deposit	P-2	P-2
- Counterparty Risk	P-2	P-2
Baseline Credit Assessment	baa1	baa1
Domestic Currency		
Outlook	Stable	Positive
Long-term - Deposit	Baa1	Baa1
- Counterparty Risk	A3	A3
Short-term - Debt/Deposit	P-2	P-2
- Counterparty Risk	P-2	P-2
Standard & Poor's[1)]		
Global Scale Ratings		
Outlook	Watch Negative	Stable
Long-term Counterparty Credit Rating	BBB+	BBB+
Long-term Certificate of Deposit	BBB+	BBB+
Short-term Counterparty Credit Rating	A-2	A-2
Short-term Certificate of Deposit	A-2	A-2
Senior Unsecured Notes (Foreign Currency)	BBB+	BBB+
Fitch Ratings[1)]		
International Credit Ratings (Foreign Currency)		
Outlook	Stable	Stable
Long-term Issuer Default Rating	BBB	BBB+
Short-term Issuer Default Rating	F3	F2
Senior Unsecured Notes	BBB	BBB+
Viability	bbb	bbb+
Subordinated Debt (Basel III-compliant Tier 2 securities)	BB+	BBB
Support	2	2
Support Rating Floor	BBB-	BBB-
National Credit Ratings		
Outlook	Stable	Stable
Long-term	AA+(tha)	AA+(tha)
Short-term	F1+(tha)	F1+(tha)
Subordinated Debt (Basel III-compliant Tier 2 securities)	AA-(tha)	AA(tha)

Note: [1] The base levels for investment grade on long-term credit ratings for Moody's Investors Service, Standard & Poor's, and Fitch Ratings are Baa3, BBB- and BBB-, respectively. For short-term credit ratings, the base levels for investment grade as viewed by these three agencies are P-3, A-3, and F3, respectively.

4.8 Impacts of the COVID-19 pandemic

The overall Thai economy contracted in 2020 due to the COVID-19 pandemic. Economic activity both at home and abroad was severely hit by the highly uncertain situation. Given the unprecedented crisis, KBank implemented assistance measures in a broader scope in line with the Bank of Thailand's policy guidelines under a prudent integrated risk management approach. KBank has proactively monitored customer risk in order to implement appropriate assistance measures for mitigating the pandemic's impacts. We have appropriately set aside expected credit loss to ensure that our provisions are sufficiently proactive to cope with potential losses in line with prevailing economic circumstances. Customers' debt servicing ability remains better than expected even following the end of the relief measures for customers under the Bank of Thailand's guidelines.

Meanwhile, KBank is aware of the risks and impacts of COVID-19 on our customers' and employees' lives and safety, continuity of our business operation and services, and the business undertakings of our customers, suppliers and other stakeholders. We have established proactive risk management, which comprehensively covers continual prevention, monitoring and response. This has prompted us to manage the situation in an effective and timely manner. We have thus far seen no significant impact on our business operation or our employees' quality of life and well-being.

In 2020, KBank suspended interim dividend payments in line with the Bank of Thailand's announcement in order to bolster the capital position of banks to cope with potential risks and sufficiently accommodate extension of loans in order to continually support economic activity. KBank can maintain a robust capital position which is adequate for our business operation while also having ample liquidity.

Details on the impacts of COVID-19 can be found in the Annual Registration Statement and Annual Report 2020 (Form 56-1 One Report), Management Discussion and Analysis, Notes to Financial Statements and the Sustainability Report 2020.

5. Operations of Support Groups

5.1 Human Resource Management

KBank has focused on providing support to our human resource management operations in major areas via the following four key initiatives:

1. **Enhancement of KBank branding as a learning organization:** KBank worked with Silpakorn University and leading technology company with expertise in contents - in organizing the Creative Business Camp to promote financial skills and business model creation for art students with the aim of producing new-generation businesspersons. We held a pitch competition in the form of a "hackathon" wherein the winner showcased their ideas on the creation of community and working space for youths who have a passion for the arts, a platform to search for materials used in work production, a comprehensive printing solution ecosystem and a platform for linking social enterprise (SE) to the general public.

2. **Development of employee skills and ability to accommodate the changing business world:** To this end, we conducted activities via various projects as follows:
   - **Development of Universal Skills:** Focus was on the enhancement of three major skills, namely thinking skills, understanding skills and doing skills, to allow all employees of every position to be versatile and able to adjust themselves to future changes more efficiently.
   - **KBank Reskill Framework:** KBank prioritized employee skill development and preparedness for those who may be affected by the changing working environment through the launch of an internal marketplace in order to support skill development among our staff members in a tangible manner. To this end, we formulated an individual development plan as follows:
     (1) Create a tool for skill measurement and identification: Share of learning has been clearly established, i.e., 10 percent from self-study, 20 percent from coaching and 70 percent from action learning.
     (2) Encourage development of employee skills via the Digital Academy program: The program was intended to enhance employee capabilities through modern learning formats such as linkage of external learning platforms to our internal system, allowing staff members to learn via SkillLane and CHULA MOOC Achieve.
     (3) Allow employees to design their own learning courses: This initiative aims to hone their work, life and other skills that are aligned with KBank's expectations amid changing business trends. Four subjects were involved:
        - "New Way of Working" which focuses on an agile mindset, and Objectives and Key Results (OKR)
        - Digital and Data Analytics Skill

- Managerial skills to enhance capabilities in thinking, analyzing and communicating
- Life skills to allow our employees to fully unleash their potential in an agile organization context

- **KBank Digital Academy x BrighterBee**: Employees can hone their work skills via more than 240 online learning courses available under four main categories. They are, i.e.,
  (1) Library: Intensive online courses designed for work skill enhancement
  (2) Perspective: A source of views from leading organizations' executives
  (3) Inspiration: Tips to spark inspiration via real-life experience shared by experts
  (4) BeeToday: Information on the latest business trends
- **Micro Learning on KONNECT+ Program**: Via this learning program, KBank organized a test to evaluate employees' learning performance based on the established topics under the cyber hygiene culture-secure password system. Around 81.8 percent of participating employees passed the test.
- **"Waste No More" Program**: Focus was on communication to our employees regarding basic knowledge of the "Lean and Waste" concept so that they have better understanding and learn how to increase work efficiency by cutting wasteful activities in alignment with KBank's expectations under the changing business trends and challenges of new work formats. In 2020, employees from 63 departments participated in the program, amounting to more than 93 percent of KBank's total employees.
- **Changemaker Year 3 Program**: The program's representatives of each department were assigned to carry out a mission of service as changemakers within the organization. This year, KBank has encouraged all employees to use KONNECT+ as a platform for communication and learning in order to stay abreast of cyber crime and promote cyber crime reporting. Moreover, KBank communicated to employees the "Lean" concept and how to increase workplace efficiency.
- **"Ask the Right Question" Program**: We have promoted the culture of a data-driven organization. Employees at all levels have been encouraged to use and analyze data for their decision-making and in their everyday work. To this end, the "Ask the Right Question" program was launched offline and online so that employees will ask questions that can lead to the maximal use of data. Renowned data experts were invited to share their experience in a seminar under the theme of "Ask the Right Question – Data Alone is not Enough: Use Data Effectively and Gain More Insights", wherein participants were equipped with perspectives and best practical guidelines on data use which is vital to business operations.

3. **Creating a positive employee experience and engagement**: We conducted various activities while also implementing projects to promote an understanding of organizational culture and employee development as follows:

- **K-REP Camp**: This modified educational activity about K-Culture was held for KBank Vice Presidents or those of equivalent positions, who are K-Culture Representatives (K-REPs) under KBank divisions and K Companies. This form of activity cultivates a mindset which fosters behaviors that are consistent with K-Culture and can be passed on to employees of KBank and K Companies in accordance with assigned tasks, including communication of K-Culture and encouragement of employee participation, and activities in the form of a virtual quiz show and an internal campaign to persuade employees to send their video clips to join the K-Culture Challenge.
- **LDP Journey 2020**: The Leadership Development Program (LDP) promotes the competency development of participating employees as KBank's main driving force. The program organizes an Individual Development Plan (IDP) on an annual basis which consists of strength and weakness analysis and competency self-assessment in line with employees' work performance goals. Moreover, participants were given the mission to inspire and act as catalysts of change for other employees in the following three dimensions:
  (1) Being a Mastery of Business Transformation: Having mastery of skills required for business model organization transformation, and capable of handling changes at present and in the future to ensure the viability and sustainable growth of the organization.
  (2) Being a Role Model of K-Culture Behavior: Possessing behavior consistent with the four facets of K-Culture and serving as an inspiration or role model for other employees.
  (3) Being a Healthy Leader of Harmonized Living: Creating a comfortable balance between work and personal life.
- **K-Heroes Program**: KBank gives awards to personnel with outstanding performance consistent with the targets of their respective divisions and KBank Core Values, which serves to boost self-esteem among all employees. In 2020, there were two team awards and individual awards which were granted to personnel from KBank's 15 divisions and K Companies, amounting to a total of 723 people.

4. Employee Relations and Benefits: KBank welcomed consultations and problem-solving discussions between employees and KBank to strengthen our relationship. To this end, meetings of the KASIKORNBANK Labour Union, KASIKORNBANK Officer Labour Union and KBank executives were arranged on a regular basis. KBank also held the Employee Committee meeting every quarter under the COVID-19 prevention measures.

Moreover, we implemented the Preventive Project in an effort to reduce cases of employee misconduct. These efforts were instrumental in maintaining the high level of customer service our employees provide, and in minimizing operational risks significantly. We also established practical guidelines on various key issues in

compliance with labor laws of AEC+3 countries, so that our employees abroad can perform their work correctly and receive fair treatment for the work they perform.

In terms of employee healthcare during the year, KBank prepared health checkups and medical benefits for our employees. We also implemented special measures to care for our employees whenever PM 2.5 dust particle concentration exceeded safety standards, and during the COVID-19 pandemic, particularly for employees living in high-risk areas.

5.2 IT Management

In 2020, KASIKORN BUSINESS-TECHNOLOGY GROUP conducted studies in technological development and prioritized cyber security management in alignment with KBank's strategy of maintaining our competitiveness as Thailand's digital banking leader with an aspiration towards becoming the regional trusted leader in this realm. Our key initiatives can be summarized as follows:

1. **Development of products and services** responsive to the transition towards a cashless society, changing consumer behavior and challenges from both existing and new players – Notable efforts included:
    - **Develop and improve K PLUS application** to enhance its capabilities
        (1) Offer customers using K PLUS application the privilege of COVID-19 life insurance coverage
        (2) Develop service system of Wealth PLUS – a robo-advisor that helps customers manage their investment portfolio and do financial planning
        (3) Develop K PLUS system to accommodate the purchase of Super Saving Fund (SSF) with K-Credit Card
        (4) Develop K PLUS system to allow customers to register for K PLUS using K-Credit Card and Xpress Cash with no deposit account required
        (5) Develop K Points – a loyalty program for accumulation of points which can be used in lieu of cash for bill payment, top-up and cash back redemption
        (6) Improve K PLUS features to better address customers' needs, including:
            - Share QR code for accepting payment in K PLUS without the need to save it or memorize an account number
            - Allow customers to block or unblock K-Credit Card on their own
            - Increase the number of currencies available for International Funds Transfer by six, including USD, GBP, HKD, SGD, AUD and EUR
            - Allow customers to choose whether or not they will exercise their right to give consent for the disclosure or use of their personal data for accepting the offering of products, services or privileges from KBank, in accordance with the Personal Data Protection Act (PDPA)

- **Development of LINE BK platform**: In collaboration with LINE Corporation Co., Ltd., financial services are offered in the form of social banking via LINE application. Customers can open an account, make funds transfer and receive real-time notifications on transactions as well as integration of risk assessment for instant loan approval.
- **Development of KhunThong social chatbot**: KhunThong is a social chatbot on the LINE application that uses Optical Character Recognition (OCR) technology to scan receipts for bill splitting among LINE group friends. It can also allow collection of monthly bills that require shared payment such as Netflix bills, as well as multiple bills.
- **Development of Eatable platform**: The digital point-of-sale platform allows restaurants to accept orders directly from customers without needing to download any application, and manage menu data, orders and sales turnover, while also integrating KBank's payment system.
- **Development of MAKE by KBank application**: The application is designed to meet the needs of the new generation as its functions allow connection with other users via three key features, namely funds transfer via Bluetooth, display of past transactions in a social chat-style format and categorization of e-wallets/pockets into various groups according to their objective, without the need to open multiple accounts.
- **Development of Digital Asset Platform**: Jointly developed with the Stock Exchange of Thailand, the Digital Asset Platform has applied the distributed ledger technology to cover the linkage to ICO Portal for selling digital tokens via initial coin offering (ICO), digital asset exchange and digital asset wallet.
- **Application of facial recognition technology**: The technology has been applied for identity verification when making payment via Boonterm kiosk and automated vending machines of Sabuy Tech and Black Canyon.
- **Application of contactless technology**: We worked with Major Group to apply ReKeep technology to a contactless movie ticket service via QR code at automated kiosks. The digital movie ticket is used in lieu of its paper counterpart to reduce the use of paper and allow customers to avoid touching objects to reduce the risk of viral infection.
- **Development of natural language processing (NLP) technology**: We have developed an NLP technology under the KITTHAI (KASIKORN Integrated Thai Text Analytics Interface) system which provides the best financial data processing in Thailand's financial and banking sector for enhanced service efficiency via the KBank Live chatbot. The system screens irrelevant texts, classifies major contents and processes, and gauges customers' intent, thus reducing K-Contact Center representatives' burdens in answering queries while also cutting customers' waiting time – leading to faster service delivery.

2. **Uplift cyber security capabilities:** Cyber threat monitoring and detection capabilities have been enhanced along with improvement of work systems and processes for enhanced efficiency. Major operations included:
    - **Establishment of Cyber Security Operation Center (CSOC):** The CSOC is dedicated to enhancing cyber threats detection and incident response capabilities in order to early detect cyber threats, promptly manage cyber risk and minimize potential impacts from cyber risk to customers.
    - **Enhancement of world-class data leak prevention system:** For broader coverage, we have put a data leak prevention system in place at all KBank units. The system classifies data categories and assesses risks from use of data, allowing increased efficiency in data leakage detection and prevention. Moreover, more data leak prevention tools have been installed to secure our employees' mobile devices, ensuring that all data transmission within KBank can be checked and is detectable.

3. **Expand regional footprint:** We aim to develop technology and services and reach out to potential customers while also scouting for partners for technology development in AEC+3 countries.
    - **Establishment of KASIKORN Vision Information Technology Co., Ltd. (KTECH):** The first foreign bank-owned fintech established in Shenzhen, the People's Republic of China, KTECH premiered the development of a processing system for approval of online loan for passenger cars.
    - **Expansion of services within AEC+3 region:** K-ATM machines were installed in Lao People's Democratic Republic to provide greater convenience to customers in conducting transactions via other banks' cards and QR code.

6. KASIKORNBANK's Investments in Subsidiaries, Associated Companies and Joint Venture

❑ Subsidiaries and Associated Companies

The definitions of subsidiaries and associated companies are in alignment with those specified in the Thai Financial Reporting Standards, which KBank discloses in the Notes to the Financial Statements.

❑ Investment Policy

Our investment policy can be summarized as:

- **Strategic Investments**

KBank invests in companies for strategic benefits. KBank and such companies collaborate in the review of business strategies and synergies through the sharing of various resources, equipment, tools and channels to efficiently meet the needs of customers, with minimal operational redundancies.

- **Outsourcing Investments**

KBank invests in companies that support our operations. These are companies providing services in place of KBank units that are not our core business and would be relatively inflexible under KBank's operation.Our executives are appointed as directors of these companies to oversee their management and operating policies. These directors are assigned to maintain control over such firms' operations, which helps to ensure that their undertakings are in accordance with standardized service quality and maximized efficiency, and are thus of benefit to KBank.

In 2020, KBank expanded its investment in the following companies which are part of KASIKORNBANK FINANCIAL CONGLOMERATE:

1. **KASIKORNTHAI BANK LIMITED (Lao PDR)**, which is a registered commercial bank in Lao People's Democratic Republic: In compliance with the new regulation by the Bank of the Lao PDR applied to KASIKORNTHAI BANK LIMITED (Lao PDR), the bank is required to increase its registered capital in Laotian Kip at a total of LAK 200 billion or approximately USD 23 million within five years (2019-2023). In 2020, the bank therefore raised its registered capital by LAK 40 billion.
2. **KASIKORN VISION Co., Ltd.**: The company increased its registered capital from Baht 1.2 billion to Baht 8 billion on April 16, 2020, in order to invest in other companies as follows:
   (1) KASIKORN Vision Information Technology Co., Ltd. (KTECH) in the People's Republic of China, with investment amounting to RMB 300 million in July 2020. KTECH is a fintech company wholly owned by KVision with registered capital of RMB 300 million, or around Baht 1.3 billion. It is the first fintech company to be set up by a foreign bank in Shenzhen. Its main tasks involve development of IT systems and scouting for new business models

conducive to digital banking services and digital economic systems, as well as adopting innovative technology that will be further applied to KBank businesses and other companies within KASIKORN FINANCIAL CONGLOMERATE.

(2) KASIKORN LINE Co., Ltd., with investment amounting to Baht 250 million in October 2020. KVision holds 50 percent plus one share of the company's shares, with registered capital of Baht 2,700,000,100. The company engages in personal loan and nanofinance business under supervision.

(3) The remaining capital will be earmarked for investment in PT Bank Maspion Indonesia Tbk in the Republic of Indonesia.

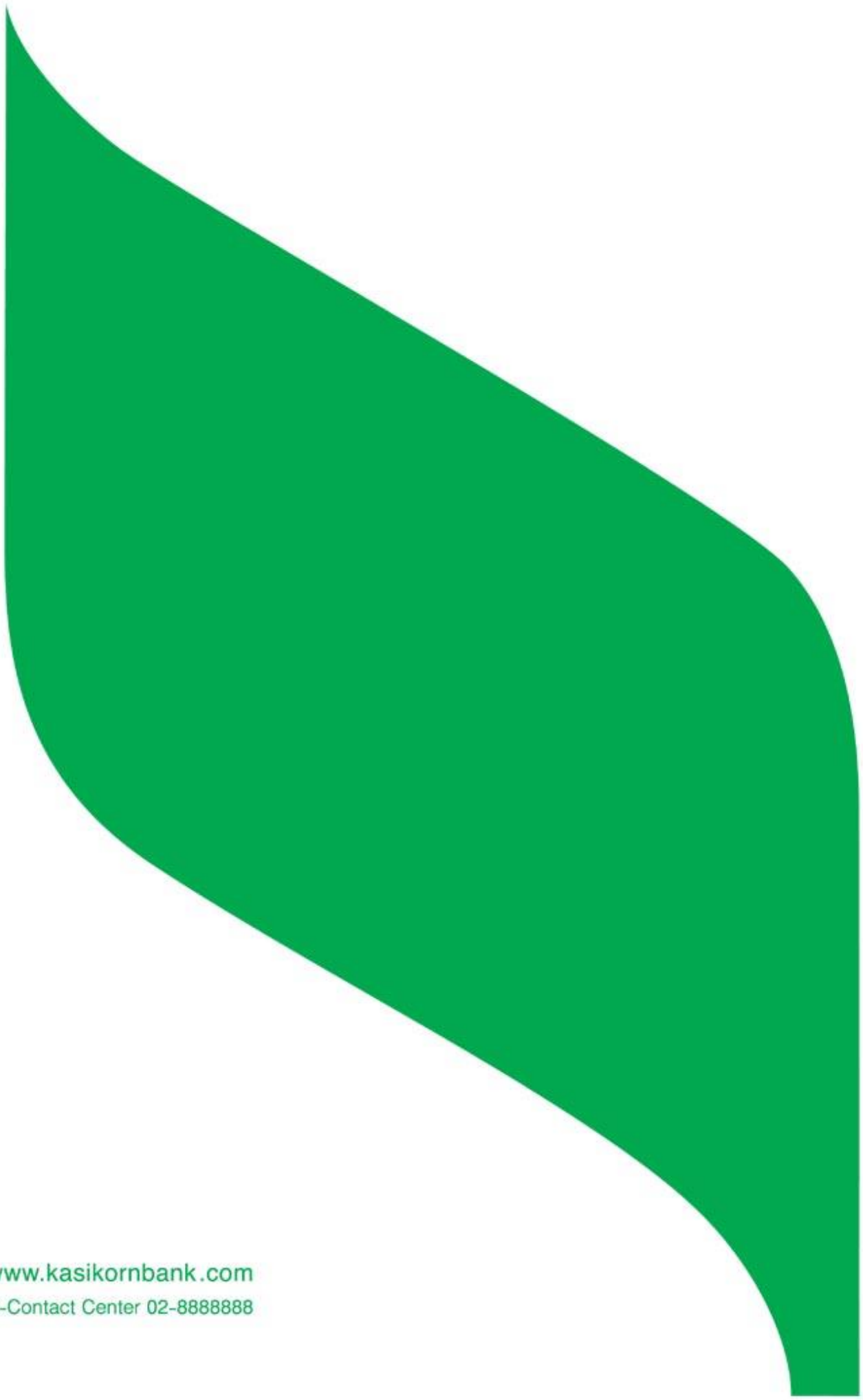
7. Shareholder Risk Management

Investments in KBank shares may incur shareholder risk, as the returns on investment, which vary with KBank share prices, share liquidity and investment overall, may not meet shareholders' expectation. KBank dividend payments are also dependent upon KBank operating results. Therefore, shareholders may have returns that are higher or lower than their expectations.

Key risks and risk management practices employed by KBank are identified. However, KBank may incur risks other than those specified therein; shareholders are urged to study all risk factors and cautiously deliberate upon any investment before making a decision. Shareholders must accept that KBank may not be able to prevent all risks that could arise, and that there are numerous factors that have the potential to affect KBank performance and dividend payments, e.g., domestic and international economic conditions, political situations, capital movements, changes in government policies, and other unpredictable incidents. Furthermore, the diversity among KBank shareholders, with its high incidence of foreign shareholding, could induce fluctuations in KBank share prices, particularly when there is incidental market concern towards the economic and political environment that could affect capital movements.

Disclaimer

Certain statements shown in this report are forward-looking statements in respect of the financial position or the performance of KASIKORNBANK PUBLIC COMPANY LIMITED ("KBank"). KBank has prepared such forward-looking statements based on several assumptions, and has relied on financial and other information available from public sources as of the date such statements were made. Statements containing words such as "expect", "believe", "estimate", etc. and other similar expressions, are considered as forward-looking statements which involve uncertainties and are subject to changes at any time due to future events, including but not limited to, changes in global/national economic, political and regulatory environment. Accordingly, the readers or the recipients of information shall carefully review this report and make their own independent decision as well as thoroughly evaluate such fact or information which may have changed prior to making any investment or entering into any transaction.



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